MINISTRY
OF FINANCE

Economic Survey
Winter 2022

Economic Prospects

Publications of the Ministry of Finance – 2022:81

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Economic Survey

Winter 2022

Economics Department

Ministry of Finance, Helsinki 2022

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Abstract

Finland's GDP is projected to contract by 0.2% in 2023. Private consumption will decline as rapidly rising prices reduce the real disposable income of households. GDP growth will then recover to 1.2% in 2024 as inflation slows and income growth accelerates. In spite of a slight decline of employment in 2023, the employment situation will remain good, and the employment rate will rise to 74.4% by 2025. GDP growth in 2025–2027 is projected to be faster than the potential economic growth rate at approximately 1.4% per year.

The general government budgetary position has improved considerably, driven by fast nominal growth and the growth of employment. The deficit will begin to widen again in 2023 due to declining economic growth and a consequent decrease in the growth of tax revenue. In addition, the measures taken in response to Russia's war of aggression and higher debt servicing costs will increase central government expenditure in particular. The general government debt ratio, which has contracted in recent years due to growing deficits and the slowing of nominal growth, will start to grow again in 2023. The debt ratio will be kept on an upward trajectory in the near future by substantial deficits in central government and local government, and higher debt servicing costs.

Keywords economic prospects, public finance, economic development

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Tiivistelmä

BKT:n arvioidaan supistuvan Suomessa 0,2 prosenttia vuonna 2023. Yksityinen kulutus vähenee, kun hintojen nopea nousu heikentää kotitalouksien reaalisia käytettävissä olevia tuloja. BKT:n kasvu toipuu vuonna 2024 1,2 prosenttiin, kun inflaatio hidastuu ja tulojen kasvu nopeutuu. Vuoden 2023 työllisyyden lievästä laskusta huolimatta työllisyystilanne säilyy hyvänä ja työllisyysaste nousee vuoteen 2025 mennessä 74,4 prosenttiin. Vuosina 2025–2027 BKT:n kasvun arvioidaan olevan talouden potentiaalista kasvua nopeampaa, noin 1,4 prosenttia vuosittain.

Julkisyhteisöjen rahoitusasema on kohentunut reippaasti nopean nimelliskasvun ja työllisyyden kasvun vetämänä. Alijäämä alkaa kasvaa uudelleen vuonna 2023, kun talouskasvu ja siten verotulojen kasvu hiipuvat, minkä lisäksi mm. Venäjän hyökkäyssodan vuoksi tehdyt toimet ja kohonnet velanhoitokustannukset kasvattavat erityisesti valtion menoja. Kasvavien alijäämien ja hidastuvan nimelliskasvun myötä viime vuosina supistunut julkinen velkasuhde alkaa uudelleen kasvaa vuonna 2023. Valtionhallinnon ja paikallishallinnon mittavat alijäämät sekä kohonneet velanhoitokustannukset pitävät velkasuhteen nousevalla uralla lähitulevaisuudessa.

Asiasanat	talousnäkymät, julkinen talous, taloudellinen kehitys		
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Ekonomisk översikt, vinter 2022

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Referat

BNP i Finland beräknas krympa med 0,2 procent år 2023. Den privata konsumtionen minskar när den snabba prisökningen försvagar hushållens reala disponibla inkomst. BNP-tillväxten kommer att återhämta sig till 1,2 procent 2024, när inflationen avtar och inkomsttillväxten accelererar. Trots den något minskade sysselsättningen 2023 kommer sysselsättningsläget att vara fortsatt gott och sysselsättningsgraden stiger till 74,4 procent till 2025. Åren 2025–2027 beräknas BNP-tillväxten vara snabbare än ekonomins potentiella tillväxt, cirka 1,4 procent årligen.

De offentliga enheters finansiella ställning har förbättrats snabbt, drivet av snabb nominell tillväxt och sysselsättningstillväxt. Underskottet kommer att börja öka igen 2023, då den ekonomiska tillväxten och därmed tillväxten i skatteintäkterna bleknar, utöver det t.ex. åtgärder som vidtas på grund av Rysslands anfallskrig och högre skuldtjänstkostnader ökar i synnerhet de statliga utgifterna. På grund av växande underskott och avtagande nominell tillväxt kommer den offentliga skuldkvoten, som har minskat de senaste åren, att börja växa igen 2023. Statens och kommunernas stora underskott och de ökade betalningskostnaderna kommer att hålla skuldkvoten på en uppåtgående bana inom en snar framtid.

Nyckelord	ekonomiska utskiter, offentlig ekonomi, ekonomisk utveckling		
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The source for all data on materialised developments is Statistics Finland unless otherwise indicated.

SYMBOLS AND CONVENTIONS USED

-	nil
0	less than half the final digit shown
..	not available
.	not pertinent
**	forecast
CPB	CPB Netherlands Bureau for Economic Policy Analysis
HWWI	Hamburgisches WeltWirtschafts Institut
IMF	International Monetary Fund
MEAE	Ministry of Economic Affairs and Employment
MoF	Ministry of Finance
MSAH	Ministry of Social Affairs and Health

Each of the figures presented in the tables has been rounded separately.

ECONOMIC SURVEY WINTER 2022

This Economic Survey offers projections of economic developments in 2022–2025. In addition to short-term prospects, it includes a medium-term economic outlook extending to 2027.

The forecast and trend projections in the survey are prepared independently by the Ministry of Finance Economics Department based on the Act on the implementation of the Treaty on Stability, Coordination and Governance in the Economic and Monetary Union and on multi-annual budgetary frameworks (869/2012).

The forecasts are based on quarterly national accounts data published by Statistics Finland in November 2022 and on other public statistical sources available by 14 December 2022.

Helsinki, December 2022

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Preface

Statistics indicate that the Finnish economy begun to contract in the third quarter of the year. There is a distinct risk of the economy drifting into a recession.

The levelling off of economic growth has been predicted since the spring. Thus far, the economy has not followed the guidance of forecasters, with news of the economy coming in as a surprise time after time. Orders have continued to come in, and production has continued to grow. Consumers have spent their accumulated savings on services in particular. The number of job vacancies has been record high, and employment has risen to unprecedented levels.

Still, the economy taking a downward turn was only a matter of time. High inflation has reduced household purchasing power. Rising interest rates have increased debt servicing costs. Households have expected economic difficulties ever since Russia invaded Ukraine. Businesses have anticipated ebbing markets, and production growth is slowing significantly.

The expectations are coming true.

Growth in Europe is projected to slow to 0–0.5% on average in 2023, which means a contraction of output in many countries on either side of the turn of the year. As our economy is closely linked to the world economy, a downturn is inevitable in Finland as well.

The root cause of the downturn is the energy shortage exacerbated by Russia's war of aggression and the exceptionally sharp rise in energy prices. This prolongs and amplifies the inflation that began from production bottlenecks in 2021.

As citizens and businesses expect prolonged inflation, inflation will start to be driven not only by rising energy prices but also the rising prices of goods and services, and rising wages. The tight labour market increases the risk of a price spiral.

The measures to increase the supply of energy are not fast-acting enough to balance the energy market and eliminate the risk of a price spiral in the short term.

With these factors in mind, it is difficult to see a path that would not lead to slower growth in Europe and Finland. The extent of the downturn is the only thing that is uncertain.

In spite of the circumstances described above, the real threat to Finnish society is not the economy drifting into a short-lived recession. The real threat to Finnish society is atrophy and a lack of prospects.

The causes are familiar. The concerns arising from those causes must not be buried under more immediate concerns that will ultimately be short-lived.

The population of Finland is ageing. The demand for wellbeing services is growing, but the number of people providing those services is not. There is a dire shortage of professionals in wellbeing services and broadly in other sectors of the economy as well. Furthermore, economic resources in Finland are moving from stagnant sectors to growing sectors less effectively than in the other Nordic countries, for example, and our productivity growth is slower than our peers.

The Ministry of Finance projects that, for these reasons, output and income in Finland may grow at an annual rate of 1–1.5% over the longer term. It is also possible that the process of adapting to the changes arising from the COVID-19 pandemic and Russia's war of aggression will be more painful than expected for the economy and Finnish society, which would weaken the conditions for economic growth for longer than anticipated.

The rapid growth in the demand for public wellbeing services and the slow growth of the economy's capacity to generate income have driven general government finances to a chronic imbalance measured in the billions of euros, and there is no improvement in sight in this respect. Rising interest rates present further challenges to the management of public finances.

The imbalance of general government finances cannot be rectified without direct and fast-acting measures aimed at public spending and revenue. We also need higher employment and faster growth, and these need to be specifically achieved in a manner that strengthens general government finances in the long term.

Where should new growth be sought, and how?

Climate change and the loss of biodiversity challenge our society to transform the existing structures of production and consumption. Mitigating climate change and biodiversity loss requires new technology, new solutions to capital allocation, new ways to organise work and value creation in the economy, and a tremendous amount of new production capacity and new investment.

The transformation is already under way and moving quickly. Businesses around the world are looking for solutions and competing for positions at the leading edge of change. Those who fail to evolve will be left behind.

Companies build new capacity in countries that provide the most favourable conditions for new production. There is intense competition for investment. For Finland to come through as one of the winners in this transformation, it needs to have the capacity for renewal and the ability to deliver sustainable and competitive solutions to the needs of the new economy.

Economic policy must support renewal in a comprehensive and consistent manner.

Only through renewal can Finland avoid atrophy and the predicament that looms over general government finances, and provide sustainable opportunities for future generations.

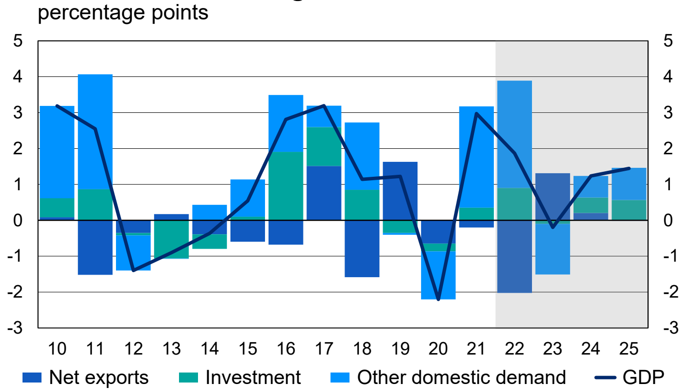
Summary

Economic outlook for the period 2022–2025

Finland's gross domestic product (GDP) turned to a slight decline in the autumn. Weak economic development is expected to continue through the winter. In 2023, GDP is projected to contract by 0.2% as rising prices erode household purchasing power and reduce consumption. However, slowing inflation will then turn real incomes to growth in 2023, and the Finnish economy is projected to grow by 1.2% in 2024 and 1.4% in 2025. Russia's war of aggression will have a prolonged impact on the economy, and the economy will not return to the previously anticipated path of growth.

There is considerable uncertainty involved in the forecast. It is very much a possibility that new developments in the war will have significant and rapidly spreading impacts on the economy. There are also risks involved with the consumption behaviour of households as prices rise at an unprecedented rate.

Contribution to GDP growth in Finland
percentage points



Sources: Statistics Finland, MoF

The exceptionally rapid rise in prices will slow down

Last spring, Russia's invasion of Ukraine significantly increased the prices of energy and raw materials, which were at a high level to begin with due to the COVID-19 crisis. The broad rise in prices has reduced household purchasing power across the world as income growth has lagged behind the rise in prices. The problems faced by households with debt are exacerbated by interest rate hikes by the ECB and other central banks, which lead to higher debt servicing costs.

However, there is relief in sight with regard to rising prices. Raw material prices have already peaked, and the bottlenecks in world trade caused by COVID-19 have eased. Consequently, the prices of food and goods are expected to start to decrease. Electricity prices will remain high during the winter, but a decrease is expected in the spring and summer. Although the price of electricity is likely to rise again the following winter, the European energy market is adapting to the new circumstances and the rise in prices will be substantially more moderate than this winter.

The prices of energy and many goods will decrease considerably in 2023, but price levels will still be higher than they were originally. Consumer prices will increase by 4% in 2023 and just under 2% in 2024–2025. Together with rising wage costs, the higher cost level will also be passed on to the prices of services. Inflation in the coming years will be higher than what people have been accustomed to in recent times. Nevertheless, the slowing of inflation will bring relief to households in 2023 as wages and income transfers will rise more than they have in recent years.

While rising prices erode the purchasing power of households, they benefit other participants in the economy. Many companies benefit from the increasing prices of their products, which will keep the employment situation fairly good and accelerate the rise in wages.

Growth will stagnate in the euro area

Output will also contract temporarily in the euro area. In general, the economic situation in the euro area is very similar to Finland. High prices reduce household purchasing power and consumption, while uncertainty and rising interest rates curb investment.

Many countries in the euro area are hit harder by the energy crisis than Finland because natural gas holds a much larger role in their energy production. Nevertheless, annual output in the euro area will grow by 0.2% while output in Finland will decline by the same percentage. This is explained by three factors. Firstly, some countries in the euro area have had a stronger recovery from the COVID-19 crisis than Finland, and that recovery is still ongoing. Secondly, the impact on exports of the loss of the Russian market is larger for Finland than for most countries in the euro area. Thirdly, subsidies related to the energy crisis are much smaller in Finland than in most other euro area countries.

Economic growth in the United States will also slow down substantially, but the contraction of output will be avoided. Household real incomes in the US will turn to growth sooner than in the euro area, as wages have risen considerably faster than in the euro area, and the US is not suffering from an energy crisis. At the same time, economic growth in the US is slowed by tightening monetary policy and the strong US dollar. Economic growth in China has been adversely affected by the weakness of domestic demand caused by COVID-19 restrictions, as well as problems in the real estate sector.

Exports are growing, but the loss of the Russian market is reflected in services in particular

Export growth in Finland has been substantially slower than export demand for the past two years. This has not been caused by a lack of price competitiveness. Rather, the reasons lie in the structure of the Finnish economy and the loss of Russian trade and tourism due to the war. As markets recovered from the COVID-19 pandemic, the demand for consumer goods grew quicky, but the production of consumer goods is a relatively small sector of economic activity in Finland. At the same time, the forest industry is in the midst of a structural transformation, with paper production capacity having been scaled down and investments in paperboard production still being in their early stages. When demand in the world economy returns to normal and the investments are completed, growth in the export of goods will accelerate in line with demand in world trade. World trade has seen good growth in spite of the slowing rate of production growth, and growth will accelerate after 2023.

Nevertheless, the loss of the Russian export market and raw material imports will leave a more permanent dent in the export of goods. The export of services will also suffer from losses of a more permanent nature. The losses of Russian tourists and tourists brought in by transfer flights from Asia are difficult to compensate for. This will be reflected in the current account, which is projected to show a deficit of just over EUR 1 billion in each year during the 2023–2025 outlook period.

Import growth in 2022 will be over 8%, which is considerably faster than export growth. Inventories have grown in line with the growth of imports. Next year, imports will decrease due to declining demand and inventories being full.

The employment situation will remain good in spite of a brief decline

Employment recovered very quickly from the COVID-19 crisis. Employment growth has continued and the employment rate is well above the level seen in 2019. Indeed, the employment rate and participation rate are at record high levels at the end of 2022. The number of job vacancies is also fairly high. This means that the labour market situation is good as we enter the economic downturn.

The number of employed people will decrease by approximately 12,000 in 2023, and the unemployment rate will rise to 7.0% from the level of 6.8% seen this year. In 2024, the unemployment rate will take a downward turn and it is projected to subsequently fall to 6.7% in 2025. Similarly, the employment rate will decline slightly in 2023 but then increase to 74.4% by 2025.

Although employment will decline, businesses will avoid dismissals. The number of job vacancies remains high, and employers want to hold on to their skilled workers. As society has recovered from COVID-19, the employment of persons over retirement age has increased considerably. Good labour demand has motivated some members of the labour force to delay their retirement. The number of retiring people will increase when labour demand declines.

Declining real incomes reduce consumption

In nominal terms, household income is growing quickly. Wage increases are being driven by higher negotiated increases than those seen in the recent years, as well as wage drifts. The positive development of employment has also increased wages. Social benefits – particularly pensions – will also increase much more than usual in 2023.

The higher-than-usual wage increases do not jeopardise Finland's price competitiveness in the short term. The increases in prices and wages have been slower in Finland than in competing countries. Wages have risen much faster in the United States in particular. In the longer term, there is a risk of a wage-price spiral that would weaken price competitiveness.

The growth of nominal earnings has been weaker than the rise in consumer prices, which has eroded household purchasing power in 2022. For households, the situation will be at its worst in winter 2022–2023. In 2023, purchasing power will grow by 0.5% as the rate of price increases declines and incomes grow.

In 2022, household consumption will grow by 2.3% despite declining real incomes. In spite of slight growth in real income, household consumption will decline in 2023. Many households have still had savings accumulated during the COVID-19 pandemic, but the rapid rise in prices this year will nevertheless be reflected in the finances of households well into 2023.

Consumers' assessment of the current state of their own finances is the weakest on record, but their assessment of their own financial situation after 12 months has already improved. Indeed, the impact of rising prices on household consumption behaviour has been moderate. If the trend of rising prices is prolonged, which would be contrary to the forecast, households could reduce their consumption much more than projected.

Construction activity is reduced by uncertainty and rising interest rates

Construction investments will decline substantially in 2023 and 2024 due to uncertainty and rising interest rates having an adverse impact on housing transaction volumes. The number of construction permits has already declined in 2022. Investments in machinery and equipment, on the other hand, will grow throughout the outlook period. The green transition increases energy investments, which are also boosted by financing from the Recovery and Resilience Facility (RRF). RDI investments will also grow.

The strong growth of public investment will continue during the outlook period except for a slight dip in 2024. In 2023, public investment will grow by approximately 7% due to the strengthening of border control and national defence, among other areas. In 2025, public investment will be increased by the procurement of fighter aircraft.

The general government deficit will remain large

The general government budgetary position has improved considerably, driven by the fast nominal growth of the economy and increasing employment. The deficit will begin to widen in 2023 due to declining economic growth and a consequent decrease in the growth of tax revenue. In addition, expenditure will be increased by the measures taken in response to Russia's war of aggression, among other factors.

The wellbeing services counties will start their operations at a deficit due to significant investments, and the deficit is projected to grow gradually due as costs – and personnel expenses in particular – increase. Expenditure growth is also fast in the municipal sector. Central government finances, in turn, are burdened by preparedness measures as well as higher debt servicing costs. Although the general government debt ratio has contracted over the past couple of years thanks to strong nominal GDP growth, the debt ratio will begin to grow again starting from 2023. The debt ratio will be kept on an upward trajectory in the near future by substantial deficits in central government and local government, and higher debt servicing costs.

The forecast involves significant uncertainty

The forecast is based on the assumption that the sanctions and the impact of the war on economic relations will remain at the current level. The war will have a negative impact on the economy throughout the outlook period, but the impact will be mitigated by the economy adapting to the new circumstances. However, it is likely that the situation will change during the outlook period. It is just very difficult to anticipate how it will change.

It is very much a possibility that developments in the war in Ukraine or Russia's internal developments will give rise to new negative impacts on the world economy and the Finnish economy. If that were to happen, the development of economic growth and employment would be weaker than projected. By the same token, if the war were to end and reconstruction begin, it would have significant positive impacts on the economy.

Russia's invasion of Ukraine is not the only source of uncertainty with regard to the development of the economy. For example, problems in the real estate market could slow growth in China and, consequently, the world economy. On the other hand, the potential easing of China's COVID-19 policy could accelerate growth in 2023. Furthermore, the rapid change in monetary policy around the world – which has been reflected in interest rate hikes and the appreciation of the US dollar, among other things – may cause problems in the financial markets and emerging economies.

There is also uncertainty associated with consumer behaviour. Rising prices and interest rates create a fairly large dent in household finances. Consumers' confidence in their finances is also very low. Considering these factors, the changes in consumer behaviour have thus far been fairly moderate. If consumers were to reduce their consumption more than anticipated, the decline in production would be deeper and longer than projected.

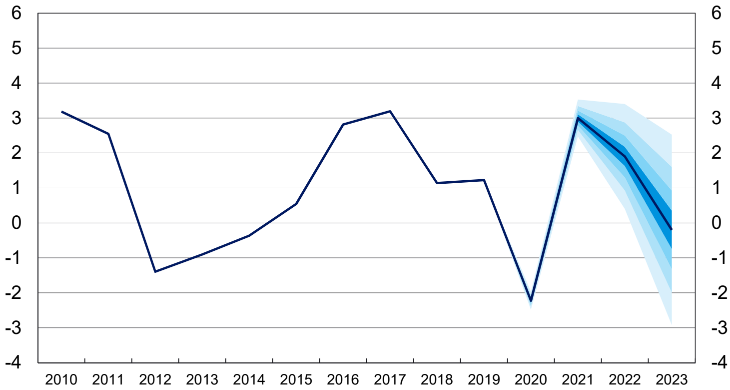
At the same time, the assumption concerning the recovery of consumption in response to slowing inflation is quite moderate. It is possible, particularly if uncertainty were to diminish, for household consumption to grow faster in 2024 and 2025. This would also make GDP growth faster than projected.

The forecast for general government finances from 2023 onwards is based on the assumption of unchanged policy. Decisions made by the new government to be formed in spring 2023 can push the forecast for general government finances in either direction. Although the forecast includes an estimate of the economic impacts of the wage agreement for municipalities and wellbeing services counties, its impacts on general government finances are uncertain because the wage increases for 2023 and 2024 are dependent on the outcomes of the still pending wage negotiations in the industrial and export sectors. Higher-than-expected wage increases in those sectors would result in increases to the wages of the employees of municipalities and wellbeing services counties. Furthermore, the operating expenditures of the wellbeing services counties will increase quickly. Pursuant to the legislation currently in effect, this will lead to a retrospective review of funding starting from 2025 if the wellbeing services counties are unable to balance their finances in accordance with the advance funding allocated to them. A corresponding risk is present in the municipal sector.

The uncertainty of the economic forecast can be illustrated with confidence intervals based on previous forecasting errors and built around the forecast. The confidence intervals describe the interval in which the actual figures have landed in previous forecasts with a probability of 80%. However, these confidence intervals only reflect the normal uncertainty involved in forecasts, and they do not take into account the special risk factors present in each instance of forecasting.

Gross national product, growth

%



Source: Statistics Finland, MoF

Table 1. Key forecast figures

	2021	2020	2021	2022**	2023**	2024**	2025**
	EUR bn	change in volume, %					
GDP at market prices	251	-2.2	3.0	1.9	-0.2	1.2	1.4
Imports	99	-6.2	6.0	8.1	-1.8	3.1	4.2
Total supply	**350**	**-3.3**	**3.8**	**3.6**	**-0.7**	**1.8**	**2.3**
Exports	99	-7.8	5.4	2.9	1.1	3.6	4.2
Consumption	190	-2.7	3.4	2.1	-0.2	0.8	1.2
private	128	-4.0	3.7	2.3	-0.5	1.3	2.0
public	61	0.3	2.9	1.7	0.4	-0.2	-0.5
Investment	59	-0.9	1.5	3.8	-0.4	1.8	2.4
private	49	-3.2	4.7	2.8	-2.1	3.0	0.3
public	11	9.5	-11.5	8.5	7.0	-2.8	11.5
Total demand	**349**	**-3.7**	**3.5**	**4.3**	**-0.7**	**1.8**	**2.3**
domestic demand	250	-2.0	2.8	4.8	-1.5	1.0	1.5

Table 2. Other key forecast figures

	2020	2021	2022**	2023**	2024**	2025**
GDP, EUR bn	238	251	274	283	293	304
Services, change in volume, %	-3.1	3.5	2.3	0.3	1.2	1.0
Industry, change in volume, %	-1.3	0.7	1.9	0.5	1.7	1.8
Labour productivity, change, %	0.3	-0.0	0.4	0.7	1.0	1.1
Employed labour force, change, %	-1.5	2.4	2.7	-0.5	0.3	0.4
Employment rate, %	70.7	72.3	74.2	73.9	74.1	74.4
Unemployment rate, %	7.7	7.7	6.8	7.0	6.9	6.7
Consumer price index, change, %	0.3	2.2	7.0	4.0	1.9	1.7
Index of wage and salary earnings, change, %	1.9	2.4	2.6	4.0	3.0	3.0
Current account, EUR bn	1.6	1.6	-6.2	-1.6	-1.0	-1.1
Current account, relative to GDP, %	0.7	0.6	-2.2	-0.6	-0.4	-0.3
Short-term interest rates (3-month Euribor), %	-0.4	-0.5	0.3	2.9	2.9	2.8
Long-term interest rates (10-year govt. bonds), %	-0.2	-0.1	1.7	2.9	3.1	3.4
General government expenditure, relative to GDP, %	57.2	55.5	52.6	53.9	53.7	53.8
Tax ratio, relative to GDP, %	41.8	43.0	42.0	41.2	41.1	40.8
General government net lending, relative to GDP, %	-5.6	-2.7	-0.8	-2.3	-2.2	-2.7
Central government net lending, relative to GDP, %	-5.5	-3.3	-1.8	-3.1	-2.9	-3.3
General government gross debt, relative to GDP, %	74.8	72.4	71.7	73.4	74.9	76.2
Central government debt, relative to GDP, %	52.4	51.2	51.6	52.9	53.8	54.3

Germany's economic outlook and its impact on Finland

The current geopolitical situation has had a negative impact on the position and outlook of the German economy, which is reflected on the rest of Europe. As Germany is also one of Finland's most important trade partners, its economic development affects Finland directly through foreign trade.

Germany's economy is at a high risk of falling into a recession

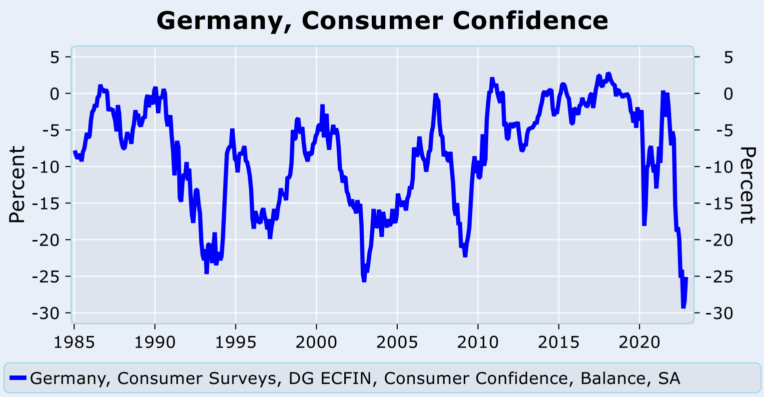
The energy sector in Germany is in a period of major transformation. This stems from the decision made following the Fukushima nuclear accident in 2011 to phase out nuclear power, and the ongoing transition to renewable energy, during which Germany's energy supply had become dependent on Russian oil and gas. Russia's invasion of Ukraine has driven Germany's energy sector into a crisis.

The growth outlook of the German economy is particularly weakened by the significant decline of gas deliveries from Russia. The resulting rise in energy prices has reduced household purchasing power and the profitability of companies. The coming winter is expected to be a difficult period for households and industry alike, although the economy is now expected to cope with the situation better than previously projected in the early autumn. According to a survey[1] by the Ifo Institute, 75% of companies have been able to maintain their production levels in spite of reducing their gas consumption. Saving on gas without curtailing production may be more difficult going forward, as only about 40% of the surveyed companies said they would be able to further reduce their gas consumption without curbing production. Replacing Russian natural gas with gas from other sources is difficult, and transitioning to other forms of energy in industry is a slow process. Consequently, the availability of energy will be a significant factor affecting the German economy in the coming years.

Household consumption has remained at a fairly good level for the time being, although high inflation has eroded consumer purchasing power. Savings accumulated during the pandemic have been one reason for this, but they have dwindled over the course of this year. The threat of a sharp rise in energy prices has pushed consumer confidence to the lowest level on record (see chart). Nevertheless, household demand has been supported by the employment situation, which has remained good, and the relief package for households presented by the German government in the autumn. In September 2022, the

1 https://www.ifo.de/en/press-release/2022-11-22/many-industrial-companies-germany-cut-gas-consumption-without-curbing

Federal Government of Germany announced two relief packages in response to the energy crisis: a package of EUR 65 billion financed by imposing levies on windfall profits in the electricity market, announced on 7 September, and an "economic defence shield" of EUR 200 billion (approximately 5.5% of GDP) announced on 29 September. Including the two smaller relief packages announced previously, Germany has supported households and businesses by approximately EUR 300 billion between September 2021 and September 2022, which represents over 8% of GDP.

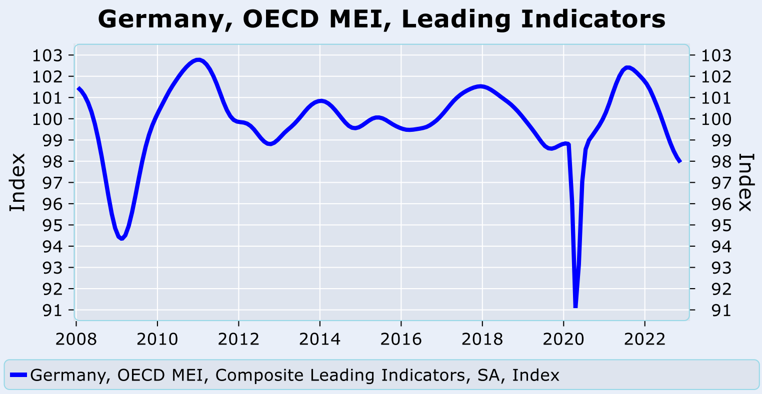


Source: European Commission, DG Ecfin

Industrial confidence has also declined rapidly, but it has not reached the depths seen during the financial crisis and the COVID-19 pandemic. Reduced gas deliveries and higher gas prices slow down industrial production, particularly for companies in sectors such as the chemical industry, where gas cannot be replaced by other forms of energy. In spite of the weakened outlook, economic growth is supported by the good employment situation and the full order books of industrial companies.

Source: Ifo Institute

The German economy still grew in the third quarter by 0.4% against widely held expectations of economic growth grinding to a halt in the second half of the year. Nevertheless, leading indicators suggest that the German economy will drift into a recession during the winter.



Source: OECD

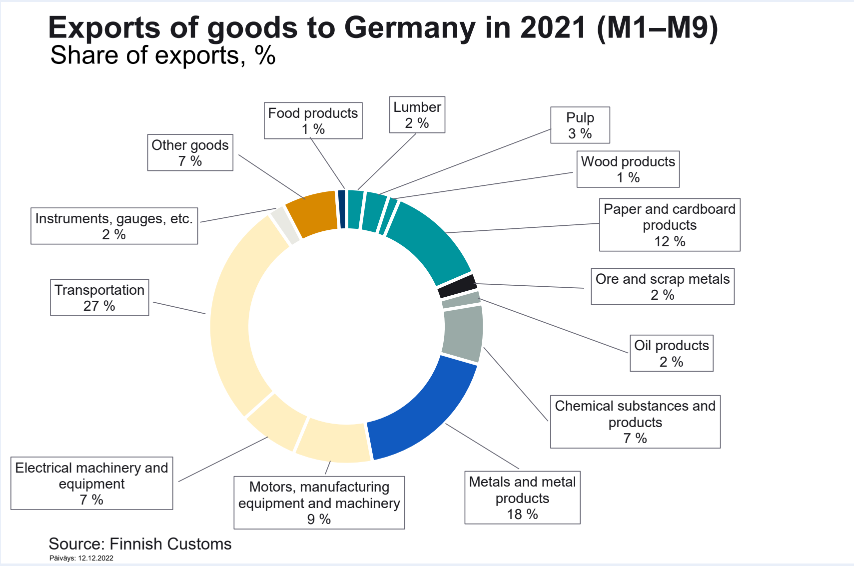
The OECD's composite leading indicator (CLI) illustrates the near-term economic outlook. When the CLI index is below 100, growth in the near future is expected to be slower than the long-term average. A turning point in the CLI index predicts a turn in the economic cycle over the next 6–12 months. According to that observation, the turn in the economic cycle would have taken place in the spring or second half of this year.

The availability of gas is the biggest risk for the German economy. If gas consumption in Germany cannot be sufficiently reduced, or if cold winter weather leads to higher demand for gas, it may become necessary for gas to be rationed, which would force companies to curtail their production. According to a risk scenario presented in the past autumn's Joint Economic Forecast (Gemeinschaftsdiagnose)[2] of economic research institutes in Germany, should the availability of gas decline significantly, industrial production and service production by the business sector would decline dramatically, and total output would fall by approximately 14% at the beginning of 2023 and by nearly 16% at the beginning of 2024 compared to the previous quarter. In all, economic growth for 2023 would show a contraction of 7.9%, followed by a contraction

2 The Joint Economic Forecast is published twice a year on behalf of the German Federal Ministry for Economic Affairs and Climate Action. The institutes that participated in the preparation of the forecast were the ifo Institute, the Kiel Institute for the World Economy (IfW Kiel), the Halle Institute for Economic Research (IWH) and RWI-Essen.

of 4.2% in 2024. At the same time, warmer-than-usual winter weather and replacing Russian gas with liquefied natural gas constitute a positive risk for the German economy.

Germany is of major significance to the Finnish economy



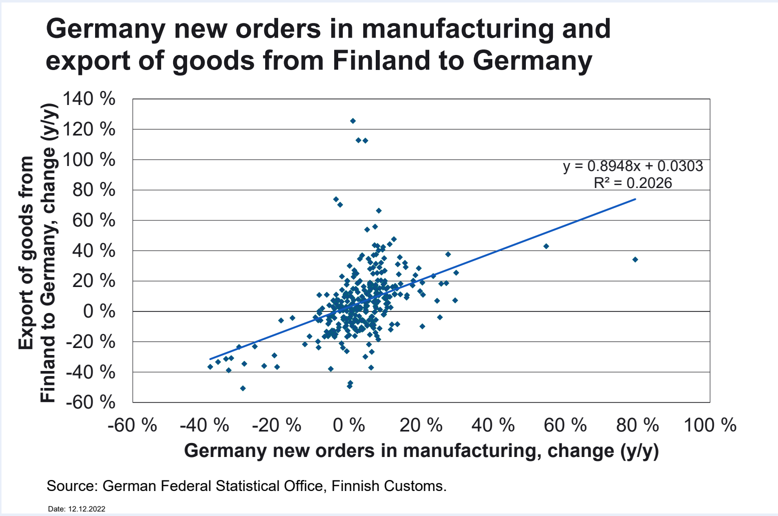
In terms of total trade value, Germany is Finland's most important trading partner.

The largest categories of goods we export to Germany are transport equipment, metals and metal products, and forest industry products (mainly paper, paperboard and products made from them). These categories include consumer goods, intermediate goods and capital goods.

Germany's significance to the entire European economy and Finland's foreign trade means that the economic situation in Germany will eventually be reflected in the Finnish economy as well. In terms of value added, Germany was Finland's third-largest export market and most significant import partner in 2018. In industrial production, Germany accounted for approximately 17% of the value added of exports. Trade in transport equipment with Germany, in particular, makes up a significant proportion of the value added of exports (12.6%) and imports (35.7%).

Germany's importance to Finland's foreign trade and the entire European economy means that Finland's exports are dependent on the total demand of the German economy. The figure below illustrates the correlation between

Finland's export of goods and new orders received by the industrial sector in Germany. While the chart does not directly indicate the Finnish economy's dependence on Germany, it shows that there is a positive correlation. The relationship between the variables is also influenced by the development of the world economy and global trade, for example.



It is clear that the projected recession of the German economy would directly reduce the export demand of Finnish goods. In addition, Finland's export demand could decline due to multiplier effects if the weak performance of the German economy were to be reflected on other key export countries as well. In 2018, the value added of exports to Germany amounted to approximately EUR 5.5 billion, or about two per cent of GDP. Due to the long-term delivery agreements signed by companies , the slowing of growth in the German economy is likely to have a delayed impact on exports by Finnish businesses. Nevertheless, a deteriorating growth outlook in export markets may reduce investments by Finnish companies and the demand for labour. However, Germany's growing investments in the renewal of energy production may compensate for the lost export demand in new areas of economic activity.

At the same time, Finland is also dependent on imports from Germany. If the industrial sector in Germany were to be forced to curtail or halt production due to high gas prices, the availability of import products would decline or their prices would increase in Finland. This is a possibility particularly in the energy-intensive chemical industry, where Germany's share of the value added of imports was almost 16% in 2018.

Medium-term outlook for the period 2026-2027

Subdued growth is in sight in the medium term, with economic growth of just under 1.5% projected for 2025–2027. The Finnish economy is projected to still remain below its normal capacity in 2025. Economic output will approach the estimated potential output level[1] and the output gap[2] will be closed in 2027 .

The change in labour input will increase potential output until 2025, after which labour input will stop growing and it will begin to reduce potential output. In addition to labour input, the production conditions of the economy are influenced by capital stock. Growth in capital stock will boost potential output growth by just over 0.5% each year between 2021 and 2027.

Total factor productivity is the third source of potential output growth. It has shown slightly higher growth in recent years than in the early 2010s. However, productivity growth remains weak compared to the early 2000s. Structural changes in the Finnish economy are one factor explaining the weaker growth. The output of high-productivity sectors has declined and services have become more predominant in the overall structure of the economy. Slow productivity growth has also been common in other developed economies. Annual total factor productivity is expected to grow by around 0.2% in 2021–2027, down from an annual average of more than 2% in the early 2000s.

1 In its assessments of potential output and the output gap, the Ministry of Finance uses the production function method jointly developed by the European Commission and EU Member States, in which potential output growth is divided into projections of potential labour input, capital and total factor productivity. Potential output and output gap are latent variables, the assessment of which involves uncertainties, particularly during a strong economic cycle and under conditions of rapid changes in the production structure.

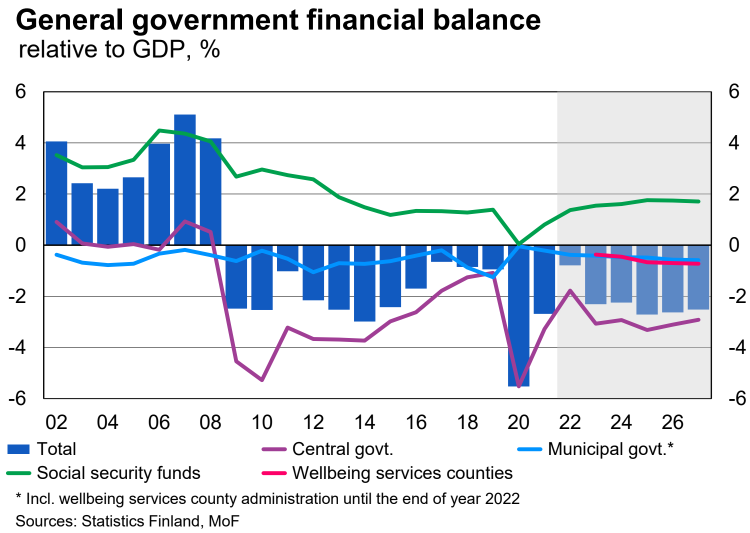
2 The Ministry of Finance bases its medium-term projection on an estimate of potential output growth, which is considered to determine the medium-term and long-term growth potential of the Finnish economy. In this projection, economic growth for years t+3 and t+4 is estimated so that the output gap will close by year t+4. However, during exceptional economic cycles, deviations from this basic assumption can be made if no credible results can be produced by adhering to the rule. In that case, depending on the situation, the output gap might be positive or negative in year t+4.

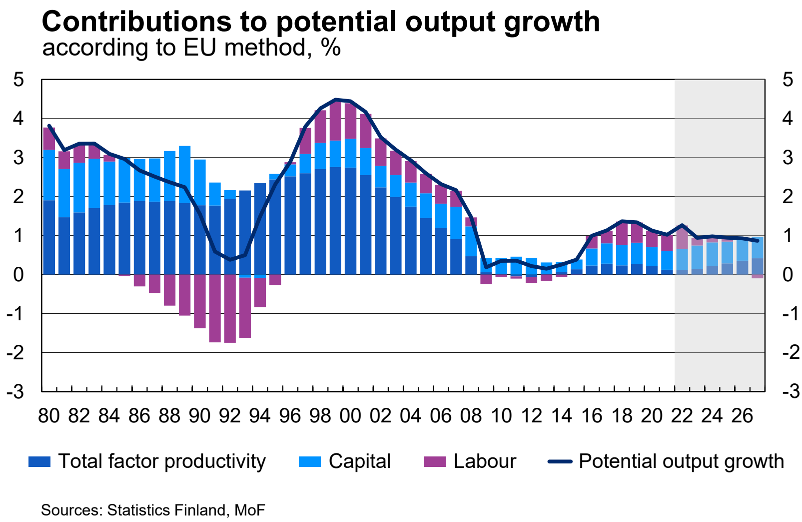
Table 3. Key forecast figures for the medium term

	2021	2022**	2023**	2024**	2025**	2026**	2027**
GDP at market prices, change in volume, %	3.0	1.9	-0.2	1.2	1.4	1.4	1.3
GDP, EUR bn	251	274	283	293	304	315	326
Consumer price index, change, %	2.2	7.0	4.0	1.9	1.7	2.0	2.0
Unemployment rate, %	7.7	6.8	7.0	6.9	6.7	6.6	6.4
Employment rate, %	72.3	74.2	73.9	74.1	74.4	74.7	75.0
General government net lending, relative to GDP, %	-2.7	-0.8	-2.3	-2.2	-2.7	-2.6	-2.5
Central government	-3.3	-1.8	-3.1	-2.9	-3.3	-3.1	-2.9
Municipal finances[1]	-0.2	-0.4	-0.4	-0.5	-0.5	-0.6	-0.6
Wellbeing services counties			-0.4	-0.5	-0.7	-0.7	-0.7
Social security funds	0.8	1.4	1.5	1.6	1.8	1.7	1.7
Structural balance, relative to GDP, %	-2.1	-0.5	-1.4	-1.5	-2.2	-2.4	-2.5
General government gross debt, relative to GDP, %	72.4	71.7	73.4	74.9	76.2	77.3	78.2
Central government debt, relative to GDP, %	51.2	51.6	52.9	53.8	54.3	54.6	54.9
Output gap, % of potential output[2]	-1.0	-0.4	-1.6	-1.3	-0.8	-0.4	0.0

[1] Excl. wellbeing services county administration as of 2023

[2]Estimated according the method developed jointly by the EU Commission and Member States


General government financial balance
relative to GDP, %
6
4
2
0
-2
-4
-6
02 04 06 08 10 12 14 16 18 20 22 24 26
Total
Central govt.
Municipal govt.*
Social security funds
Wellbeing services counties
* Incl. wellbeing services county administration until the end of year 2022
Sources: Statistics Finland, MoF


Contributions to potential output growth
according to EU method, %
5
4
3
2
1
0
-1
-2
-3
80 82 84 86 88 90 92 94 96 98 00 02 04 06 08 10 12 14 16 18 20 22 24 26
Total factor productivity
Capital
Labour
Potential output growth
Sources: Statistics Finland, MoF

1 Economic outlook

1.1 International economy

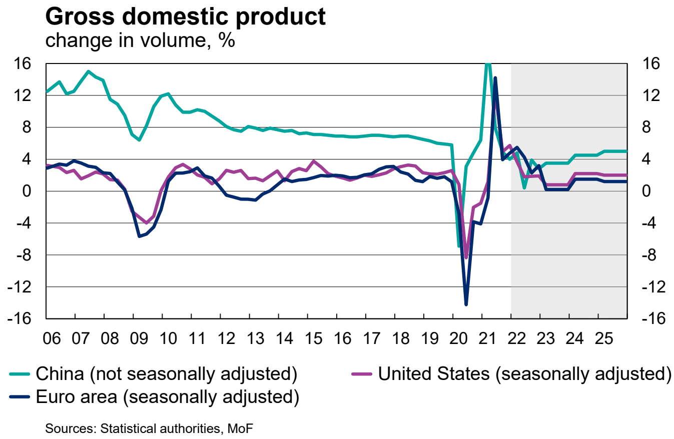
1.1.1 Global economy

The outlook of the world economy is bleak as Russia's war of aggression and the European energy crisis continue. Inflation also remains high, although it has slowed down slightly in the United States and Europe. Consumer confidence is very weak in spite of the good employment situation in many countries. The growth of the world economy will slow down from 2.9% in 2022 to 1.9% in 2023, with a subsequent recovery to growth of 3% projected for 2024.

The US economy recovered in the third quarter of 2022 after contracting in the first half of the year. Inflation has slowed down from the peak seen in the summer due to a rapid tightening of monetary policy. The labour markets are very tight, and wages have risen quickly. The strengthened US dollar has a negative impact on the outlook of exports. Economic growth will slow down to 0.8% in 2023 and subsequently recover to 2.2% in 2024.

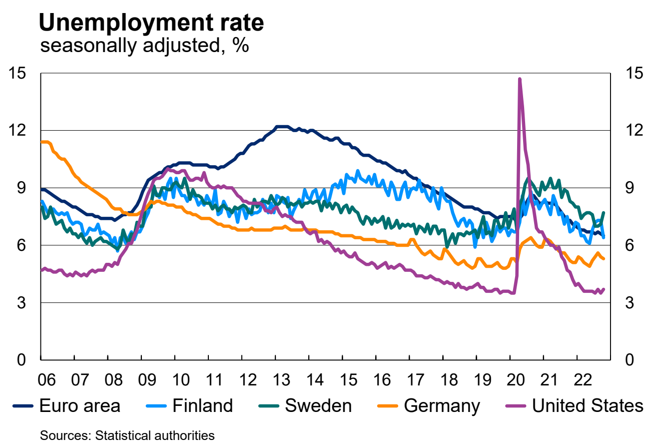
China's economic outlook is overshadowed by weak domestic demand and problems in the real estate sector. The country's strict COVID-19 policy has been abandoned. Leading indicators suggest subdued growth. The economy will grow by 3.5% in 2023 and growth will accelerate to 4.5% in 2024.

The outlook of the euro area is grave due to the energy crisis and record weak consumer confidence. Most leading indicators suggest that growth will slow down. In the final quarter of 2022 and the first quarter of 2023, the economy will be in a technical recession. However, growth is projected to recover to 0.2% in 2023 and subsequently to 1.5% in 2024.



The economic outlook of the United Kingdom is weak. In addition to being affected by other challenges, the economic outlook is still influenced by the country's withdrawal from the EU. The economy will be in a technical recession in the latter part of 2022 due to factors such as declining real income caused by very high inflation. Due to the weak carry-over, the economy will contract by one per cent in 2023. Growth is projected to then turn positive, to 0.8% in 2024.

In spite of the moderately favourable outlook of the service sector, rapid inflation and high household debt will lead to a recession in Sweden in 2023. The economy will contract by 0.4% for the full year. Slower inflation and the recovery of real wages will see the economy turn to growth of 0.9% in 2024.



The continuation of Russia's war of aggression in Ukraine will prolong the recession of the Russian economy. Energy exports are restricted by sanctions imposed by Western countries. The federal economy has turned to a deficit in 2022. Skilled workers have left the country to work abroad. The breakdown of economic relations with the West will have far-reaching impacts. Total output will contract by 3.5% in 2023 and by a further per cent in 2024.

In Japan, economic development has been relatively stable as inflation has remained moderate. The depreciation of the yen has supported the price competitiveness of exports. Many leading indicators suggest a relatively favourable economic outlook. Total output will grow by just over one per cent in 2023 and 2024.

India's total output growth is among the fastest in the G20. The economy will grow by 6.1% in 2023, and continued strong growth is expected in 2024. Inflation will be at its highest in the first quarter of 2023. Rising food prices are the biggest driver of inflation in India.

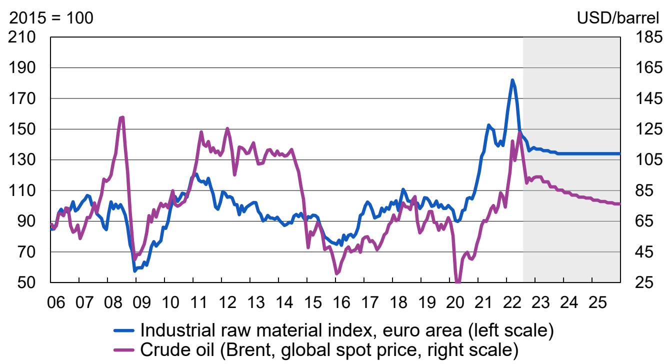
Uncertainty is continuing in the international financial markets. There is pessimism in Europe in particular, with risk appetite having decreased and capital flowing into safe havens. The stock markets have developed favourably after the summer, but stocks are still lower than they were at the turn of the year. Interest rates on long-term sovereign bonds turned to a decline in the autumn and, in the euro area, the gap between the interest rates on sovereign bonds issued by the peripheral countries and Germany has narrowed slightly. The direction of development in the coming months will be determined by inflation and related expectations. The tightening of monetary policy is likely to continue in the near term.

There are signs that the peak of inflation has already passed, not only in the United States but also in Europe. Consumer price inflation has slowed slightly, but core inflation continues to accelerate in Europe. In particular, there is considerable upward pressure on wages in many economies. At the same time, the impact of energy prices on inflation is declining.

The development of the energy markets has settled down slightly after a turbulent year. The price of crude oil has been falling since the summer. The price of natural gas has also declined quickly. Electricity prices are expected to peak in early 2023.

The prices of industrial raw materials have declined quickly from the highs seen in spring 2022. While the price of wheat has fallen from the peak seen in the spring, it has increased slightly during the latter part of the year in spite of the Black Sea Grain Initiative.

Raw material prices

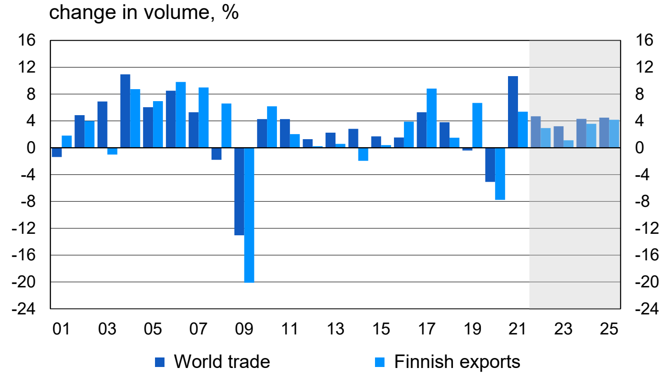


Sources: Hamburgisches WeltWirtschafts Institut, Macrobond, MoF

1.1.2 World trade

World trade has remained relatively strong despite the slowing of economic growth. The underlying reasons include the easing of logistics problems, shorter delivery times and lower freight costs. Due to the strong growth carry-over effect of late 2022, world trade is projected to grow by 3.2% in 2023 and subsequently accelerate to 4.3% as the world economy recovers.

World trade
change in volume, %



Sources: CPB Netherlands Bureau for Economic Policy Analysis, Statistics Finland, MoF

1.1.3 Risks

Risks associated with the economic outlook is skewed to the downside. Economic growth in Europe may be weaker than the basic scenario if wide-ranging wage increases lead to a worsening wage-price spiral. The risks associated with the Chinese economy now also include the risk of domestic consumption being weaker than expected. The various challenges faced by emerging economies may be reflected in the world economy.

A key positive risk is the potential end of Russia's war of aggression in 2023 and a resulting economic recovery. It is also possible that the European energy crisis will be less severe than expected in winter 2023.

Table 4. Gross domestic product

	2020	2021	2022**	2023**	2024**	2025**
	change in volume, %					
World (PPP)	-3.0	6.3	2.9	1.9	3.0	2.9
Euro area	-6.3	5.5	3.2	0.2	1.5	1.2
EU	-6.0	5.2	3.0	0.2	1.4	1.2
Germany	-4.1	2.6	1.7	-0.2	1.6	1.2
France	-7.9	6.8	1.9	0.2	1.5	1.1
Sweden	-2.3	4.8	2.5	-0.4	0.9	1.5
United Kingdom	-11.0	7.5	3.8	-1.0	0.8	1.0
United States	-2.8	6.1	1.9	0.8	2.2	2.0
Japan	-4.7	1.8	1.7	1.1	1.1	0.6
China	2.2	8.1	2.8	3.5	4.5	5.0
India[1]	-6.8	9.5	5.8	6.1	5.8	6.0
Russia	-2.7	4.7	-5.5	-3.5	-1.0	0.0

[1] Fiscal year

Sources: Statistical authorities, MoF

Table 5. Background assumptions

	2020	2021	2022**	2023**	2024**	2025**
World trade growth, %	-5.1	10.5	4.7	3.2	4.3	4.5
USD/EUR	1.14	1.18	1.05	0.98	0.96	0.96
Industrial raw material price index, EA, € (2015=100)	100.0	140.1	154.6	135.5	134.0	134.0
Crude oil (Brent), $/barrel	43.4	70.7	100.0	89.3	81.6	77.5
3-month Euribor, %	-0.4	-0.5	0.3	2.9	2.9	2.8
Government bonds (10-year), %	-0.2	-0.1	1.7	2.9	3.1	3.4
Export market share (2010=100)[1]	97.0	92.5	91.0	89.2	88.7	88.4
Import prices, %	-4.9	9.4	19.3	0.7	-5.3	-4.1

[1] Ratio of export growth to world trade growth

Sources: CPB, Macrobond, HWWI, Statistics Finland, MoF

1.2 Foreign trade

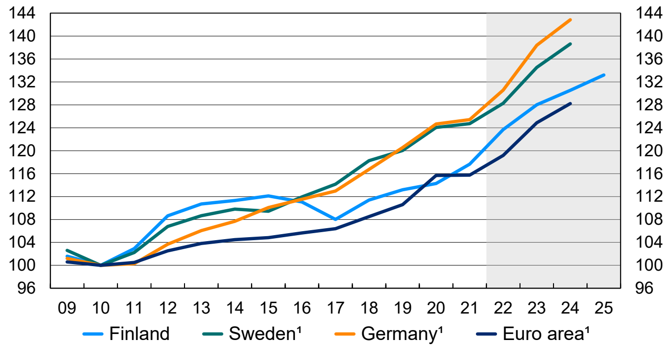
1.2.1 Exports and imports

The economic outlook of Finland's key trading partners for 2023 has declined due to tightening monetary policy and rising energy prices. At the same time, the growth of exports and imports in 2022 has exceeded expectations due to lost trade with Russia being successfully substituted by trade with other partners in both exports and imports. Russia now only has a minor significance in Finland's foreign trade, and trade with Russia is expected to end almost completely in the near future. Nevertheless, the outlook of foreign trade still involves major risks, both downside and upside. Failure to curb rising inflation or carry out the energy transition could further dampen the outlook of export markets. However, foreign trade has not halted due to the war as badly as feared, and the potential end of the war would also improve the export outlook faster than expected. A clear easing of China's strict COVID-19 policy would also have a favourable impact on the export outlook of Finnish businesses.

The volume of exports will grow by 2.9% in 2022. Exports have fallen behind the growth of export demand and growth has been weaker than in 2021. At the same time, exports have been stronger than expected in 2022, as lost trade with Russia has been substituted faster than anticipated, and no complete halt in foreign trade has materialised. Growth is especially strong in services, driven particularly by telecommunications, IT and information services. Export growth will slow in 2023 as the euro area economy drifts into a recession and export market growth slows down. The volume of exports is projected to grow by 1.1% in 2023. The expected recovery of world trade in 2024 and 2025 also improves the outlook of Finnish exports, which are expected to grow by 3.6% in 2024 and 4.2% in 2025.

According to Statistics Finland, import growth has been particularly strong in 2022. Growth has been primarily derived from services, particularly foreign travel by Finns and transport services. Imports are projected to grow by 8.1% in 2022. Imports will turn to a decline in 2023 due to decreasing exports and the strong import growth figures of 2022. Imports will decline in 2023 by 1.8%. Supported by the recovery of exports, imports will grow by 3.1% in 2024 and 4.2% in 2025. Towards the end of the outlook period, import growth will also be supported by the procurement of fighter aircraft.

Unit labour costs
2010 = 100, nominal



¹ European Commission forecast
Sources: European Commission, Statistics Finland, MoF

Table 6. Foreign trade

	2020	2021	2022**	2023**	2024**	2025**
	change in volume, %					
Exports of goods and services	-7.8	5.4	2.9	1.1	3.6	4.2
Imports of goods and services	-6.2	6.0	8.1	-1.8	3.1	4.2
	change in price, %					
Exports of goods and services	-3.4	9.8	20.5	0.6	-5.4	-4.1
Imports of goods and services	-4.9	9.4	19.3	0.7	-5.3	-4.1

1.2.2 Prices and current account

Prices have increased rapidly in 2022, but Finnish businesses have been able to pass the higher import prices on to export prices, which has kept the terms of trade stable according to data provided by Statistics Finland. Upward pressure on prices in 2022 is driven particularly by goods. Import prices will increase by 19.3% and export prices by 20.5%. In 2023, the increase in prices is expected to level off significantly, approaching zero, as economic activity declines and the global bottlenecks to trade ease further. The prices of goods will turn to a decline, while the prices of services will continue to rise. Import prices are projected to increase by 0.7% in 2023, with export prices rising by 0.6%. In 2024, both import and export prices will fall, and that declining trend will continue in 2025. In spite of the decline, price levels will remain higher than they were before 2022. In 2024, import prices will decrease by -5.3% and export prices by -5.4%. In 2025, prices will fall by -4.1% for both imports and exports, and the gap between the price changes of goods and services will narrow.

The current account showed a surplus of EUR 1.6 billion in 2021 after revisions to the statistics. Imports have grown sharply in 2022, which will push the current account to a deficit of EUR -6.2 billion. While part of the deficit is expected to be attributable to individual items, there are other factors that will keep the current account at a deficit throughout the outlook period. Finnish companies distributed exceptionally large dividends in 2022, some of which were paid to foreign shareholders. This weakened the current account on a one-off basis. One permanent item is related to travel, as Finns are expected to return to pre-pandemic levels of international travel, while the number of foreign tourists to Finland is expected to remain lower than before the pandemic. This is due to the sanctions imposed in response to Russia's invasion of Ukraine and the rerouting of flights between Finland and Asia. The current account is projected to show a deficit of EUR 1.6 billion in 2023 and subsequently approach a deficit of approximately EUR 1 billion towards the end of the outlook period.

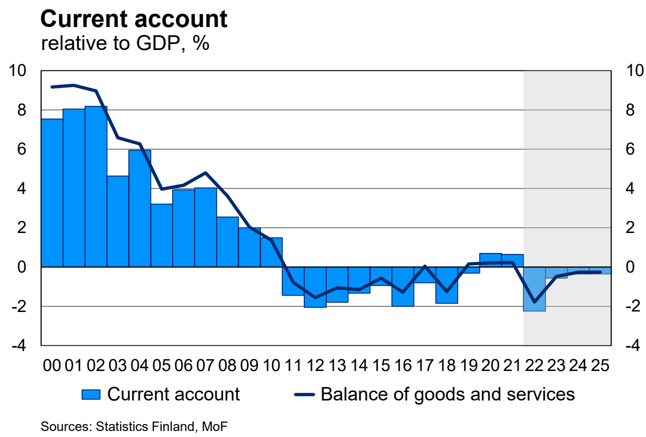


Table 7. Current account

	2020	2021	2022**	2023**	2024**	2025**
	EUR bn					
Balance of goods and services	0.2	0.0	-4.9	-1.4	-0.8	-0.8
Factor incomes and income transfers, net	1.5	1.6	-1.3	-0.3	-0.3	-0.3
Current account	1.6	1.6	-6.2	-1.6	-1.0	-1.1
Current account, relative to GDP, %	0.7	0.6	-2.2	-0.6	-0.4	-0.3

1.3 Domestic demand

1.3.1 Private consumption

The strong growth of private consumption in the second quarter of 2022 dwindled in the third quarter as consumption declined by 0.3%. Consumption declined substantially for both semi-durables, such as clothing and footwear, and non-durables, such as energy and food.

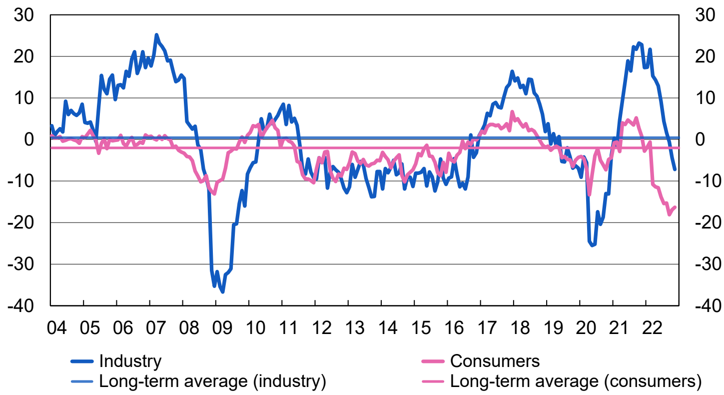
The sharp rise of consumer prices and interest rates on loans reduces household purchasing power, weakening private consumption in the final quarter of 2022 and in 2023. Russia's war of aggression and the uncertainty it has caused in the energy market has undermined consumer confidence, which appears to have delayed consumption particularly with regard to durables.

Total private consumption will increase by 2.3% in 2022 as, regardless of the price hikes, the consumption of services has increased substantially as the COVID-19 pandemic has receded.

In 2023, private consumption will decrease by 0.5% as the employment situation deteriorates and households' real income grows only slightly. When the rise in prices slows in 2024, household purchasing power will increase more rapidly, with private consumption growth accelerating to 1.3%.

Industry and consumer confidence

balance, seasonally adjusted



Source: European Commission

Consumers' confidence in their own finances remained very weak in November. Consumers' assessment of the current state of their own finances was the weakest on record, but their assessment of their own financial situation after 12 months has improved since September.

The sum of wages and salaries has continued to show strong growth: in July–September, the sum of wages and salaries of the whole economy was up by almost 6% year on year. The sum of real wages and salaries declined further in the third quarter as inflation exceeded 8% in September.

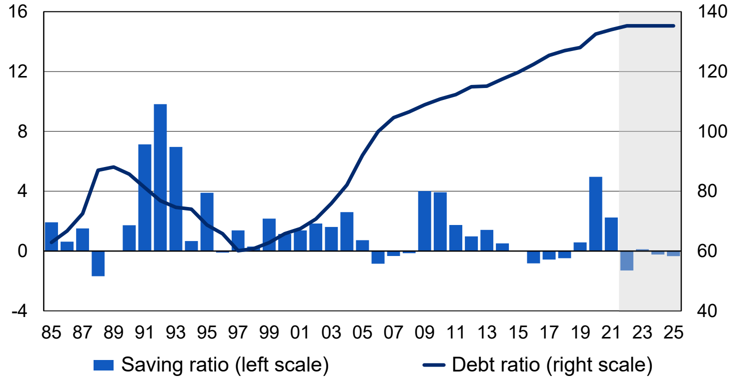
The volume of retail sales in October was 3.5% lower than a year earlier. The retail outlook for the Christmas season appears weak as consumer's purchasing intentions are at a record low. In the service sector, turnover and volume still grew rapidly in the second quarter, but growth stalled in September–October.

The consumption of durables has been declining for a long time now, and is projected to decline by 9.4% in 2022. First registrations of cars have been at a very low level throughout 2022, and there is no turnaround in sight. The prolonged decline of durables consumption will level off in 2023. In 2024, durables consumption is projected to grow by almost 3% as household purchasing power improves.

The surge in energy, fuel and food prices, and the gradual return from remote work to offices, has led to an exceptionally sharp downturn in non-durables consumption in 2022, even though the price elasticity of non-durables consumption is typically relatively low due to weak substitutability. Due to the high price level, non-durables consumption will again decrease slightly in 2023, but a return to growth is expected in 2024.

Service consumption has grown rapidly in 2022. The growth in service consumption will stop almost entirely in 2023 due to declining household purchasing power, but consumption is projected to recover thereafter in 2024.

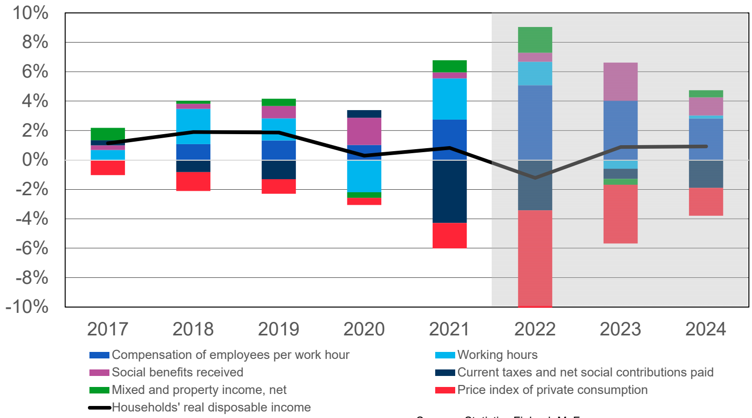
Household savings and debt
% of disposable income



Sources: Statistics Finland, MoF

The household savings ratio is projected to turn negative this year as households' consumption rises faster than incomes. The rate of increase in the household debt ratio is projected to slow down this year as interest rates rise, and the debt ratio will stop increasing in 2023.

Households' real disposable income [1]
change and contributions to growth, %



Sources: Statistics Finland, MoF

1 The contribution of taxes and social security contributions paid as well as the price of private consumption are shown with negative sign, as any increase in these items reduces the real disposable income of households.

Real income, which measures the combined purchasing power of households, is projected to decline by approximately one procent in 2022, as the exceptionally rapid increase in consumer prices fully eats up the increase in disposable income. Purchasing power is also cut by the slow growth of social benefits received, as the high inflation of 2022 will increase index-based benefits mostly in 2023. The rise in average earnings will be slightly boosted in 2022 by the temporary increase in employers' pension insurance contributions.

Households' real disposable income is projected to rebound in 2023 as inflation slows and social benefits received increase substantially due to cost-of-living index increases. The growth of the price of private consumption is projected to slow to approximately 4% in 2023 and approximately 2% in 2024.

Table 8. Consumption

	2021	2020	2021	2022**	2023**	2024**	2025**
	share, %	change in volume, %					
Private consumption	100.0	-4.0	3.7	2.3	-0.5	1.3	2.0
Households	95.8	-4.3	3.7	2.4	-0.5	1.3	2.0
Durables	8.1	3.3	4.5	-9.4	0.1	2.7	6.0
Semi-durables	7.5	-9.5	11.6	1.4	-0.9	1.6	2.7
Non-durable goods	28.5	1.5	2.0	-3.0	-1.9	0.9	1.8
Services	51.7	-6.9	3.5	6.2	0.4	1.2	1.4
Consumption by non-profit institutions	4.2	1.9	1.6	1.5	0.0	1.3	2.0
Public consumption		0.3	2.9	1.7	0.4	-0.2	-0.5
Total		**-2.7**	**3.4**	**2.1**	**-0.2**	**0.8**	**1.2**
Households´ disposable income		0.8	2.6	5.7	4.9	2.8	3.6
Private consumption deflator		0.5	1.7	7.0	4.0	1.9	1.7
Households´ real disposable income		0.3	0.8	-1.2	0.9	0.9	1.9
		%					
Consumption in relation to GDP (at current prices)		75.3	75.4	74.8	75.1	74.9	74.8
Household savings ratio		5.0	2.2	-1.3	0.1	-0.2	-0.3
Household debt ratio[1]		132.5	134.0	135.3	135.3	135.3	135.3

[1] Household debt at end-year in relation to disposable income

1.3.2 Public consumption

The growth of public consumption expenditure is expected to slow to just under 2% in 2022. Public consumption growth is slowed by the year-on-year reduction in additional expenditure caused by the COVID-19 pandemic, among other factors. Growth in consumption expenditure is being sustained by factors including growing demand for services due to population ageing, preparedness required due to Russia's invasion of Ukraine and increased immigration due to the war, and the extended tasks introduced by the Government Programme, with the related costs increasing annually.

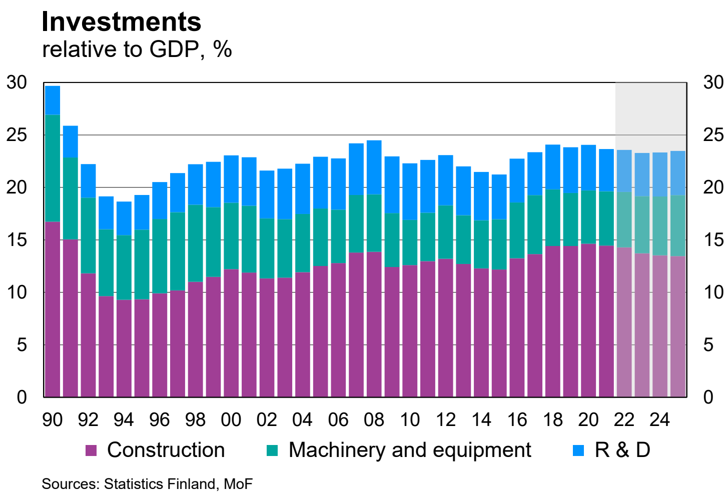
The growth of public consumption will slow in 2023 as certain once-off additional expenditure items come to an end at the conclusion of the parliamentary term. However, the growth of public consumption expenditure will be maintained by the rising demand for services caused by the ageing of the population, as well as rising preparedness costs and immigration costs caused by Russia's war of aggression. Public consumption is projected to contract in 2024 due to factors including the front-loaded nature of expenditure financed with the Recovery and Resilience Facility and a decline in transition costs arising from the start-up and organisation of the wellbeing services counties. The contraction of consumption is projected to continue in 2025 as immigration and integration expenditure decreases. The need for appropriations related to immigration depends on the actual number of immigrants and their service needs. As such, the figures still involve uncertainty.

The value of public consumption will grow throughout the outlook period as prices rise faster than they have in recent years. The entire municipal sector has negotiated wage increases aligned with the general level, at a minimum, for 2023 and 2024, as well as a five-year pay programme that will increase pay by a total of approximately 5.1% over a period of five years. In addition, for those who are within the scope of the agreement for health and social services, the harmonisation of pay in the wellbeing services counties and joint authorities for health and wellbeing has been negotiated, with a total of 6% allocated to that purpose for the period 2023–2025. As the details of the central government's agreement for the coming years have not been negotiated yet, the forecast assumes that the development of earnings in central government will be in line with the general development of earnings in the labour market.

1.3.3 Private investment

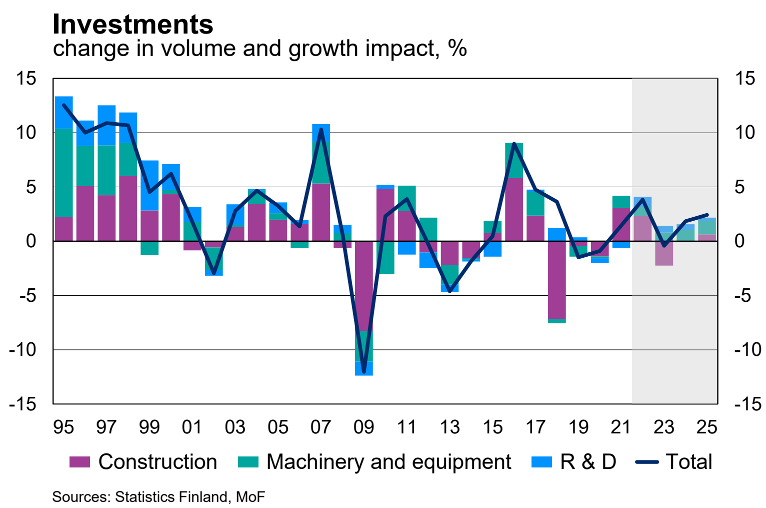
Growth in private investment during the outlook period is projected to be slower than average due to continuing economic uncertainty. Housing construction has remained strong due to construction projects started in the latter part of 2021. This will support investment this year, with private investments projected to grow by nearly 3%. In 2023, the global economic outlook is substantially weaker than this year, which will also be reflected in investment.

The investment outlook for Finnish manufacturing industries was bright after the COVID-19 pandemic, which has boosted investment. However, investment projects may be delayed or suspended due to uncertainty. Financing from the EU's Recovery and Resilience Facility (RRF) has a positive impact on private investment during the outlook period. Private investment will decrease by 2.1% in 2023 and increase by 3% in 2024. Growth will continue in 2025. Over the entire outlook period, private investment will grow at an average rate of 1%, and the ratio of private investment to GDP will remain at approximately 19%.



Housing construction investments remain strong in 2022. As a result of last year's positive development in housing starts, housing investments will still grow by 7% this year. However, construction permits are already trending downward, predicting a decline in housing starts next year. This will be reflected in a contraction of housing construction investments. At the end of the outlook period, the number of housing starts will decline to a level that is closer to the long-term average. Repair construction will have a positive effect on housing construction investments during the outlook period. Housing construction investments will decline in 2023 and 2024, with a return to growth expected in 2025. The demand for housing loans is showing signs of slowing. Uncertainty and increased interest rates will be reflected in housing construction during the outlook period.

Non-residential building construction investments will already decline this year. Investment projects in facilities construction are affected by the prevailing uncertainty and weak growth outlook of the economy. The industrial outlook for 2022 is favourable, and several major industrial investments will be made in the coming years. Progress will be made in projects already under way, but most new investment plans are likely to be postponed. The development of non-residential building construction will be more positive towards the end of the outlook period as the growth outlook improves. Investments will decline by 3% in 2023 and turn to growth of 2% in 2024, followed by growth of 1.2% in 2025. Civil engineering investments will decrease in 2023, mirroring the trend in other construction. At the end of the outlook period, as uncertainty is reduced, growth will again return closer to average.



Machinery, equipment and transport equipment investments will during the outlook period, driven by industrial activity. Projects such as those in the energy sector to implement the green transition will see rapid progress in the coming years. Overall, the level of investment in machinery and equipment will be reasonably high during the outlook period. Towards the end of the outlook period, public investment will also support the growth of investments in machinery, equipment and transport equipment. Machinery and equipment investments will grow between 4% and 6% in 2023–2025. Other investments, including R&D investments, will grow throughout the outlook period. RDI investments will be supported during the outlook period with financing from sources including the Recovery and Resilience Facility (RRF), and probably by changes in taxation, which will increase RDI investments.

The uncertain outlook of the investment environment may push back investments even further or prevent their implementation. An above-forecast level of private investments potentially catalysed by the Recovery and Resilience Facility (RRF) can be seen as a positive risk for private investments. There is a positive risk involved in the energy sector's green investment projects when the goal is to fast-track independence of Russian fossil fuels. Low real interest rates and the rapid rise in prices in the early part of the outlook period may also motivate companies to invest more than the projected amount.

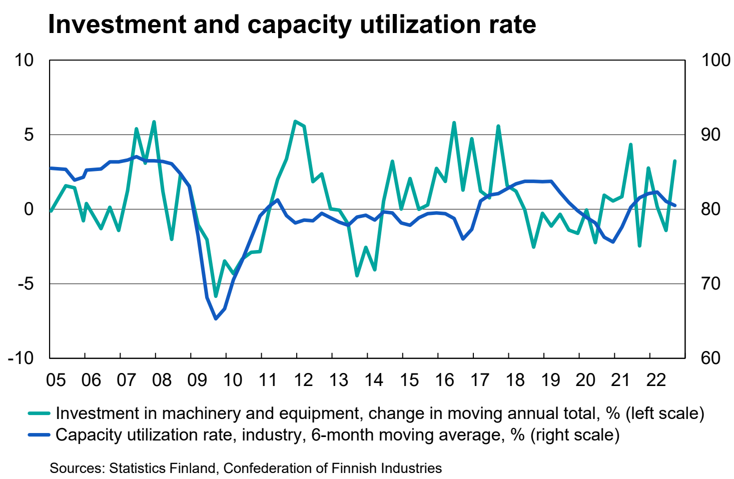


Table 9. Fixed investment by type of capital asset

	2021	2020	2021	2022**	2023**	2024**	2025**
	share, %	change in volume, %					
Buildings	53.1	-2.3	5.0	3.8	-3.7	-0.0	1.1
Residential buildings	30.3	-3.2	5.8	7.0	-4.2	-1.5	1.0
Non-residential buildings	22.9	-1.2	4.1	-0.5	-3.0	2.0	1.2
Civil engineering construction	8.0	10.7	-17.3	-1.0	-0.5	1.0	1.0
Machinery and equipment	21.9	-0.8	5.5	4.0	4.0	5.0	6.0
R&D-investments[1]	17.0	-2.5	-3.6	6.0	4.0	3.5	2.0
Total	**100.0**	**-0.9**	**1.5**	**3.8**	**-0.4**	**1.8**	**2.4**
Private	82.3	-3.2	4.7	2.8	-2.1	3.0	0.3
Public	17.7	9.5	-11.5	8.5	7.0	-2.8	11.5
		%					
Investment to GDP ratio (at current prices)							
Fixed investment		24.0	23.7	23.6	23.3	23.3	23.5
Private		19.2	19.5	19.2	18.6	18.9	18.6
Public		4.8	4.2	4.4	4.6	4.5	4.9

[1] Includes cultivated assets and intellectual property products

1.3.4 Public investment

Public investment has been high in recent years, accounting for more than 4% of GDP. The ratio of investment to GDP will increase further in the coming years, particularly as a result of the Finnish Government's decisions to strengthen defence capabilities and border control. In Finland, the ratio of public investment to GDP is considerably higher than in the EU countries on average.

Last year, public investment declined significantly in both central and local government. This was attributable to a reduction in expenditure related to construction and weapons systems investments. This year, the biggest factor increasing public investment is the central government's substantial spending on the procurement of defence materiel. The EU's Recovery and Recovery Facility (RRF) increases financing for investments promoting the green transition and digitalisation.

In 2023, public investment is projected to grow by approximately 7% from the previous year due to the strengthening of cyber security, border control and national defence. Construction of the eastern border barrier fence is one large project that will start next year. The General Government Fiscal Plan also includes an increase to the level of spending on the procurement of defence materiel. RRF investment funding will also increase slightly from the previous year, while the additional spending on transport infrastructure investments decided on by the Government will decline. The number of investment projects in healthcare and social welfare services remains high.

Public investment will contract in 2024 due to a decrease in investments related to national defence. Defence expenditure will remain high in spite of decreasing. Investments in the development of transport infrastructure networks will also be lower than in the preceding year. At the same time, the central government will increase its investments in R&D activities. In local government, investment pressure will continue due to population migration and the repair backlog of the building stock.

The first deliveries of the Finnish Air Force's multirole fighter aircraft are expected towards the end of the outlook period, in 2025. This will substantially increase public investment compared to the previous level. The procurement of other defence materiel is expected to decline. R&D investments are projected to continue to grow.

The forecast takes into account the decisions made by Prime Minister Sanna Marin's government regarding the General Government Fiscal Plan, central government spending limits, the budget and the supplementary budgets. Discretionary measures during the upcoming parliamentary term and by the next government may have a significant impact on public investment in the final years of the outlook period.

1.4 Domestic production

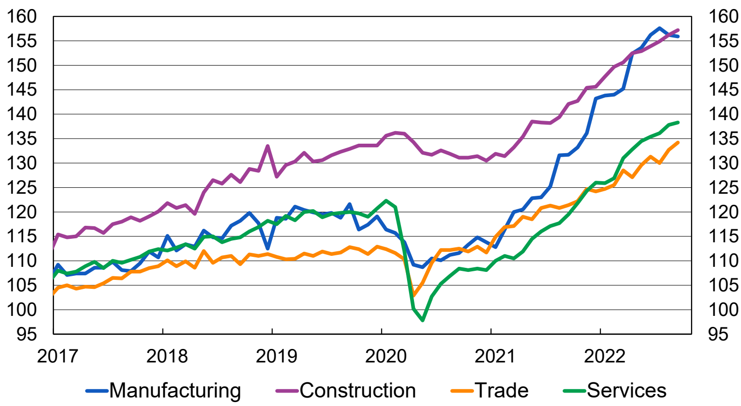
1.4.1 Total output

Having recovered in 2021, production remained on a positive trend for the first two quarters of 2022 before the economy slowed in the latter half of the year. The positive development was particularly apparent in services, with most service sectors continuing to see year-on-year growth until the autumn. The slowing of economic activity began in the autumn, especially in the trade sector and financial services. The rise in costs and prices, the scope of which expanded during the year, is also predictive of slower growth in production volumes. In terms of turnover, all of the main sectors have grown compared to the previous year.

Prices have risen quickly in all industrial sectors, particularly in the forest and chemical industries and the energy supply industry. The underlying factors include the growth of demand after the COVID-19 crisis and the impact of Russia's war of aggression on the prices of energy and raw materials. While the sharp rise in prices is reflected in improved profitability for businesses in the short term, it may also lead to rapid changes in demand. Uncertainty over future market developments increases as prices change significantly.

Turnover trends in main industries

2015 = 100, seasonally adjusted



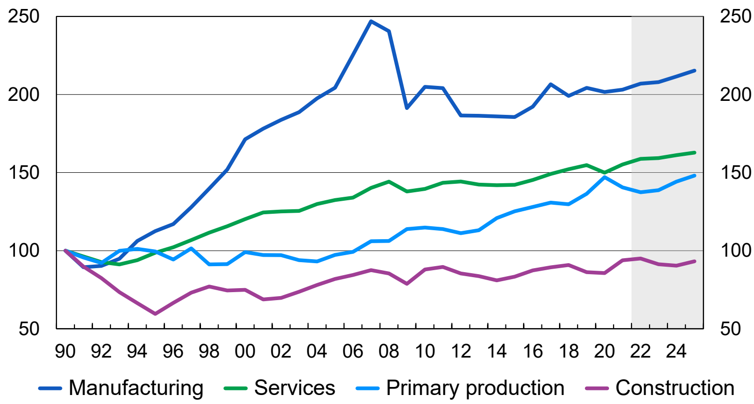
Lähde: Tilastokeskus

The value added of the national economy will grow by 2.0% in 2022. Growth is projected to be the highest in the metal industry (7.6%) and, in services, in the information and communications industry (6.2%), and in professional, scientific and technical activities and administrative and support services (7.5%). The last-mentioned category comprises a wide range of services, including forwarding services and functions outsourced by companies. The sectors that are expected to see the largest contractions are the electrotechnical industry, trade, financial services and insurance.

Output growth will come to a halt in 2023. The uncertainty in Europe will be particularly apparent in energy-intensive industries, but Finland will also benefit from energy prices having risen less than in competing countries, and from industrial operators having in-house energy production. Industry will be helped by the falling prices of raw materials and oil. In 2024, the growth of combined value added is projected to recover to 1.2%. The declining economic cycle is driven by consumer demand, and production by the industrial and service sectors may maintain the current level of output with the help of exports and falling costs.

Output

1990 = 100



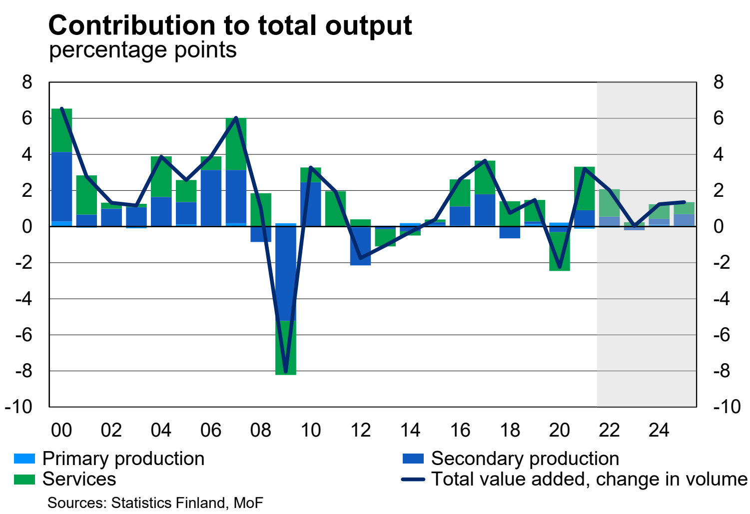
Sources: Statistics Finland, MoF

Growth has slowed in industry and construction. The growth rates for 2022 are projected to be 1.9% for industry and 1.2% for construction. In primary production, the good grain harvest has helped maintain the level of agricultural output in positive territory. In services, the positive outlook in the early part of the year has compensated for the slowing of activity in the latter part of the year, with the full-year growth rate being 2.3%.

The projected halting of output growth in 2023 will be largely driven by the domestic market, with the declining purchasing power of consumers being a key factor. Construction and related services are projected to decline in particular. Manufacturing output will remain at the current level, and the service sector as a whole will keep output growth in positive territory by a slim margin. Positive export demand will not be sufficient for manufacturing output to grow.

In 2024, economic growth is projected to recover slowly, reaching a level of approximately 1.2%. Manufacturing will recover faster than other sectors, supported by the recovery of export markets. Service production will recover as consumer confidence returns, and business services will recover in the wake of other industries. Output growth in forestry is expected to accelerate the recovery of primary production. The resumption of growth in construction may be delayed until 2025 due to the excessive supply of housing.

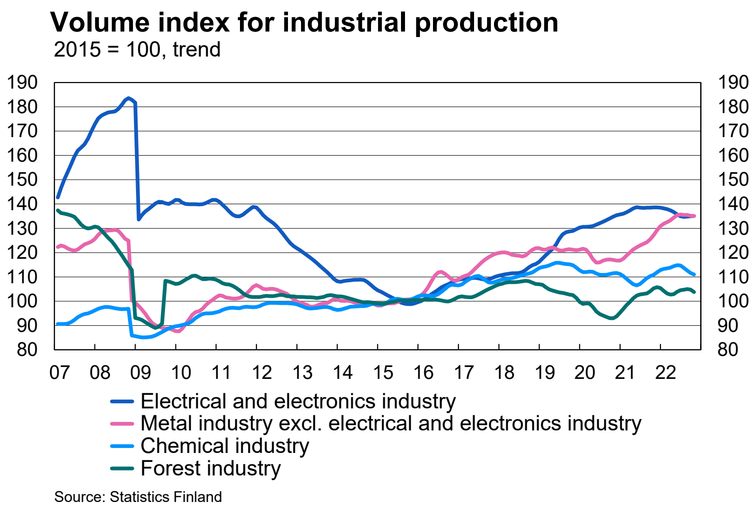
In 2025, economic growth will approach the growth potential. Barring unexpected positive shocks, the economy will not reach a higher level of output in spite of previous investments or a positive outlook in some individual industries. The development of productivity has not improved these expectations over the past few years but, in the coming years, productivity growth is projected to accelerate to approximately one per cent per year during the period 2023–2025.



1.4.2 Secondary production

Manufacturing

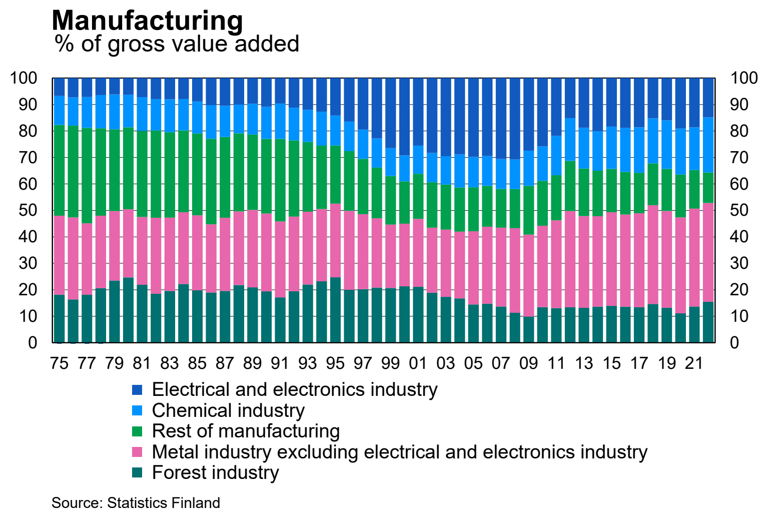
The declining economic cycle is reflected in the order books of manufacturing enterprises. The level is still above normal, but the strong growth in orders seen in 2021 has now dissipated. The start of the year was also characterised by good expectations in manufacturing, but demand has begun to decline and exports are projected to dwindle. The decrease in demand has also been reflected in significant growth in inventories. According to the Confederation of Finnish Industries, the higher inventories may also be due to preparations for the diversification of supply chains.



Forest industry output has suffered from strikes and the closure of a production plant in 2022, but output is projected to grow next year in all main product categories thanks to growth in production capacity. The main export market for the forest industry is Europe, and Germany in particular. Prices are high, which is accelerating the downward trend in the demand, especially for paper products. Prices are expected to remain high. The profitability of the forest industry has been particularly high this year.

Output in the chemical industry varies substantially from one year to the next. Production volumes have increased after the COVID-19 pandemic. Prices have also risen significantly in the chemical industry. It is an energy-intensive industry, which means that the higher prices of energy and raw materials lead to expectations of a decline in production volumes. The economic expectations in the industry are negative for this year and next.

In the electrical and electronics industry, new orders and order books have developed favourably in 2022, and turnover has increased from the previous year. The industry's growth is projected to remain moderate. The situation has also remained stable this year in other subsectors of the metal industry, including the machinery and metal products industry and metal manufacturing. In the metal refining industry, the expected decline in raw material prices may also influence turnover. Producer prices and costs will significantly increase turnover in the metal industry.



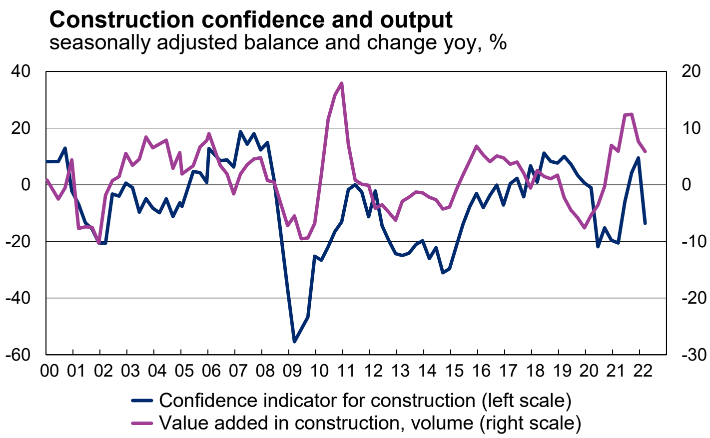
The economic outlook of manufacturing is characterised by uncertainty over export demand, which has been highlighted in surveys. The development of the export markets depends largely on their investment climate and confidence. This is reflected in surveys, but capacity-related limitations have also been highlighted. Nevertheless, the manufacturing industry is projected to maintain its current level of output in 2023. This is based on the expectation that exports as a whole will not decline, and raw material prices will fall. In addition, several industrial investments in new production plants will be completed during the outlook period.

Construction

The year got off to a promising start in housing construction, but a change in the transaction volume for old dwellings quickly altered the economic outlook during the year. The number of housing starts in 2022 was projected to be 38,000–40,000, which is higher than average. Most of the starts in the early part of the year were projects that carried over from the previous year. By the end of September, construction had begun on approximately 30,000 dwellings, which is more than 5,000 units lower than at the corresponding time last year.

The weakened outlook has also influenced the trend in building permits. From the beginning of the year until September, the number of building permits issued was 18% lower than in the previous year. In the construction of apartment buildings, the cubic volume also decreased by 18% year-on-year in January–September.

Repair construction accounts for around half and new construction work for the other half of construction output. Repair construction is projected to develop favourably this year and next, but the increasing prices of renovations may temporarily slow the rate of growth. Repair construction is projected to grow by an average of 2% each year over the outlook period.



Sources: Statistics Finland, European Commission

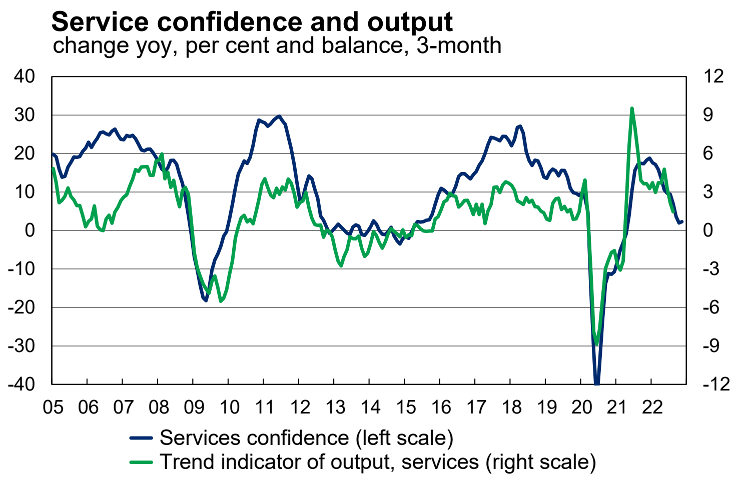
Construction output will still grow by 1.2% this year. Next year, however, it is projected to decline by nearly 4% from the current level. The forecast for 2024 involves uncertainty due to potential changes in the economic cycle. Output is projected to decline by a further 1% due to the current excessive supply of housing, and output is only projected to turn to growth in 2025.

1.4.3 Services

There was a broad-based increase in service production in the first half of 2022. Production then contracted in the latter half of the year in several service sectors, particularly in finance, insurance and trade. The tourism and restaurant sector continued to grow until the final quarter. The transport and warehousing industry turned negative towards the end of the year due to declining trade and consumer demand.

According to the Business Tendency Survey, the service sectors estimate that sales will continue to grow, but at a slower rate. Demand has also declined in service industries, which adds to the previous factors constraining growth, namely production bottlenecks and the lack of skilled labour. Growth has remained stable in the information and communication services sector. In the transport sector, growth is constrained by rising costs.

Growth in service production in 2023 is projected to be close to zero due to declining consumer purchasing power. Changes in business services are driven by changes in industry. The overall growth of service production will remain positive throughout the outlook period, until 2025.



Sources: Statistics Finland, European Commission

Table 10. Production by industry

	2021	2020	2021	2022**	2023**	2024**	2025**
	share, %[1]	change in volume, %					
Industry	20.7	-1.3	0.7	1.9	0.5	1.7	1.8
Construction	7.7	-0.7	9.6	1.2	-3.9	-1.0	3.2
Agriculture and forestry	2.6	7.8	-4.5	-2.2	1.0	3.9	2.7
Industry and construction	28.4	-1.1	3.2	1.8	-0.7	1.1	2.0
Services	69.0	-3.1	3.5	2.3	0.3	1.2	1.0
Total production at basic prices	**100.0**	**-2.3**	**3.2**	**2.0**	**0.1**	**1.2**	**1.4**
GDP at market prices		-2.2	3.0	1.9	-0.2	1.2	1.4
Labour productivity in the whole economy		0.3	-0.0	0.4	0.7	1.0	1.1

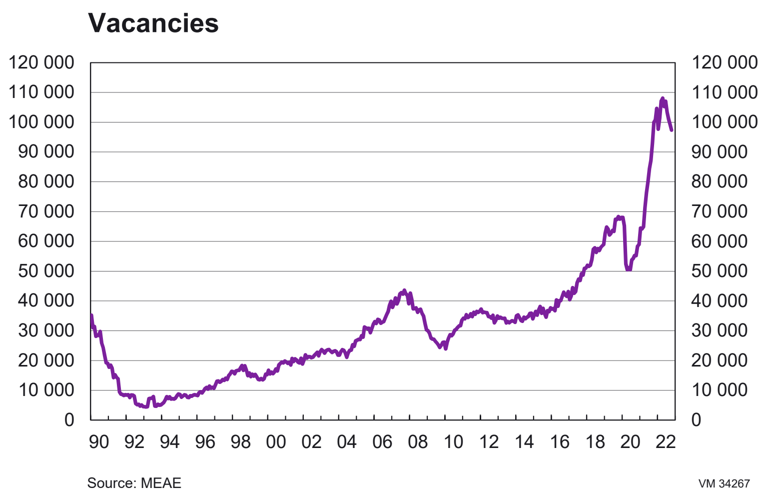
[1] Share of total value added at current prices

1.5 Labour force

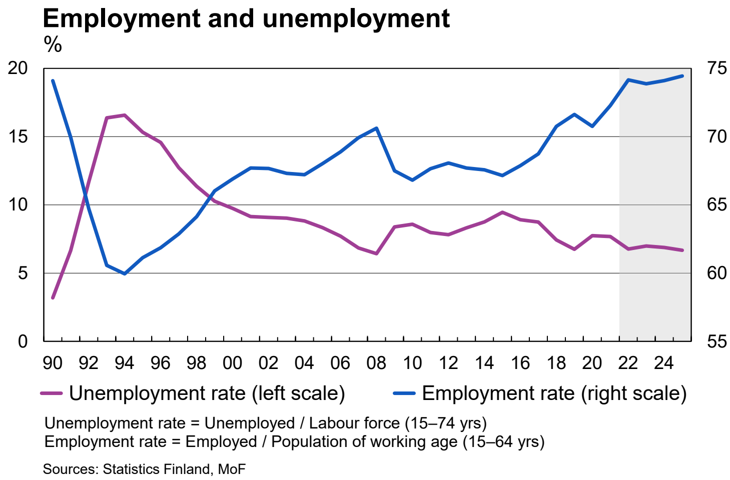
Employment is very high. Employment growth in 2022 will be even higher than the previous year at 2.7%. Growth in the number of employed people has been particularly brisk among women who have reached retirement age, young men, and in service industries in the business sector. Full-time wage and salary earners represent a larger proportion of employed people than last year, although the number of part-time employees has also grown. Consequently, the increase in work performed, i.e. number of hours worked, is only about half of the increase seen in the number of employed people, i.e. 1.6%. According to the Statistics Finland's Labour Force Survey, the number of working hours has not yet reached the pre-pandemic level.

The labour market is on the brink of a transformation. While the number of employed persons has continued to grow and there is a record number of job vacancies – also in relation to the number of unemployed jobseekers – the decline in unemployment shows signs of levelling off. Consequently, there is a lot of labour force in the labour market, as the pull of the labour market draws new people into working life.

Labour market mismatches appear to have increased further, and competence gaps are weakening the conditions for economic growth. The number of job vacancies is high while the number of unemployed people is turning to growth. Business sector surveys show that it is challenging for companies to find the employees they need, particularly due to shortages of experience, special competence and education and training. According to the surveys, the challenges faced by companies with regard to the recruitment of skilled workers were bigger in 2022 than in the previous year.



Total output is projected to contract slightly in 2023, and labour demand is projected to decline, leading to a contraction of approximately 0.5% in the number of employed people. Demand will weaken particularly in construction, real estate services, trade and the chemical industry. The significant shortage of competent workers motivates companies to hold on to their employees, as the recession is expected to be short-lived, and it is likely that employers will elect to use temporary lay-offs and other labour flexibility solutions instead of dismissals. Economic recovery will increase the number of employed persons in 2024 and 2025, especially in the service sectors. The employment rate will exceed 74% in 2025, partly due to the contraction of the size of the working-age population.



Strong employment growth led to a substantial decrease in unemployment in 2022, although unemployment did not decline as much as it does on average in conditions of similarly strong employment. Unemployment among men contracted nearly twice as much as unemployment among women, particularly in the 15–34 age group. Unemployment among the elderly saw double-digit growth.

The recession is expected to increase unemployment in 2023. The contraction of construction activity, in particular, will increase unemployment in secondary production. If, as assumed by the forecast, labour market mismatches and region-specific and occupation-specific availability of labour do not become an obstacle to the functioning of the labour market, the unemployment rate will fall to 6.7% in 2025. This is still around one half of one percentage point above the level of structural unemployment in Finland estimated using the EU's common methodology.

Table 11. Labour market

	2020	2021	2022**	2023**	2024**	2025**
	annual average, 1,000 persons					
Population of working age (15–74 yrs)	4133	4123	4119	4107	4097	4090
change	5	-10	-4	-12	-10	-7
Population of working age (15–64 yrs)	3421	3417	3420	3417	3416	3415
change	-7	-3	3	-3	-1	-1
Employed (15–74 yrs)	2494	2553	2623	2611	2619	2630
of which 15–64 yrs	2420	2470	2536	2525	2532	2542
Unemployed (15–74 yrs)	209	212	190	196	193	188
	%					
Employment rate (15–64 yrs)	70.7	72.3	74.2	73.9	74.1	74.4
Unemployment rate (15–74 yrs)	7.7	7.7	6.8	7.0	6.9	6.7
	1,000 persons per annum					
Immigration, net	18	23	28	28	28	28

1.6 Incomes, costs and prices

1.6.1 Wages and salaries

The rate of increase in nominal wages accelerated slightly in 2022 and was 2.6%, compared to 2.4% last year. The acceleration was due to higher negotiated wages, as wage drifts remained unchanged. The rise in negotiated wages in the private sector accelerated slightly, while the rate of increase in negotiated wages in the public sector was on a par with the previous year. Among the industries, the rate of increase in earnings in secondary production was as high as in the previous year, while in services, the rate of increase accelerated, particularly in the real estate sector, in accommodation and restaurant services, and in financial and insurance services. Real wages fell by over 4%, as inflation significantly exceeded the rate of increase in nominal earnings.

Many new two-year collective agreements were signed in the private sector and the public sector in 2022. The negotiated increases for the first year were generally around 2%, which is slightly higher than in the previous year. Furthermore, the municipal and wellbeing sector reached an agreement on a multi-year pay programme that will increase pay by approximately 1% per year for the next five years. In addition, in the first two years of the agreement, the general wage increases agreed upon by the export sector will apply to the municipal and wellbeing sector.

The key export industries failed to reach unanimity in autumn 2022 on negotiated increases for 2023. Consequently, the wage increases stipulated by the new collective agreements are as of yet unknown. This forecast assumes that the pay increases specified in the 2023 agreements will be higher than this year in the entire economy. The assumption is based on strong demand for skilled labour and the significantly accelerated rise in consumer prices. Furthermore, wage drifts are projected to be higher than on average, exceeding one percentage point. Nominal earnings would thus increase by approximately 4% in 2023.

The projected increase in earnings for 2024 and 2025 is linked to the predicted subdued growth in productivity. On the other hand, economic growth and the resulting rise in employment as well as labour shortages in some sectors are expected to keep wage drifts high. Nominal earnings are projected to increase by approximately 3% in 2024 and 2025.

The sum of wages and salaries increased by nearly 7% in 2022. The sum of wages and salaries was increased by higher earnings and higher employment. The increase in the sum of wages and salaries was the sharpest in service industries, but the increase was also fast in secondary production. In addition to nominal earnings, the sum of wages and salaries is also affected by employment trends. With employment contracting, the sum of wages and salaries is projected to increase by 3.5% in 2023, although it is assumed that the rate of increase in nominal earnings will accelerate. In the coming years, the rate of earnings growth is projected to slow while employment growth will accelerate, which would mean that the sum of wages and salaries will increase by just over 3% in both 2024 and 2025.

Table 12. Index of wage and salary earnings and labour costs per unit of output

	2020	2021	2022**	2023**	2024**	2025**
	change, %					
Index of negotiated wage rates	1.3	1.8	1.9	2.9	2.0	2.0
Wage drift, etc.	0.7	0.7	0.7	1.1	1.0	1.0
Index of wage and salary earnings	**1.9**	**2.4**	**2.6**	**4.0**	**3.0**	**3.0**
Real earnings[1]	1.6	0.2	-4.4	0.0	1.1	1.3
Average earnings[2]	1.9	2.2	5.1	4.1	3.1	3.1
Labour costs per unit of output whole economy[3]	1.0	3.0	5.1	3.5	2.0	2.0

1 The index of wage and salary earnings divided by the consumer price index.

2 Computed by dividing the national wage bill by the number of hours worked by wage and salary earners. The figures are affected by structural changes in the economy.

3 Compensation of employees divided by gross value added in volume at basic prices.

1.6.2 Consumer prices

Inflation has continued to accelerate and is now at its highest since the early 1980s.

Measured in terms of the national consumer price index, the projected inflation rate for 2022 is 7%. However, inflation will be much higher than this in the latter part of 2022. While the acceleration of inflation is still largely due to rising energy prices, inflation is very broad-based, and prices are rising quickly in nearly all consumption categories. The number of rising prices in the consumer price index is almost 20 times higher than the number of falling prices.

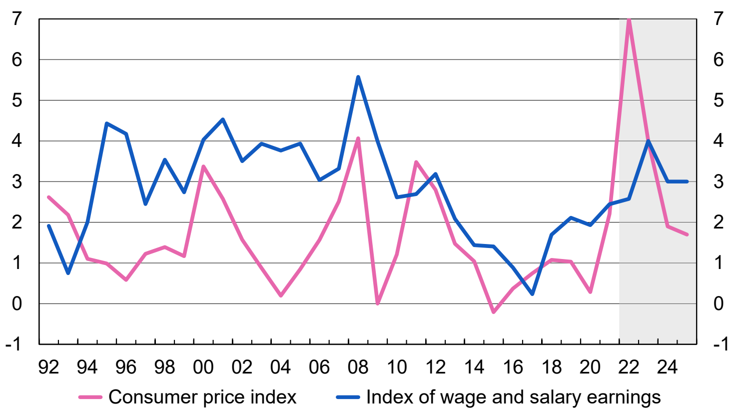
While it seems that the price of crude oil has already passed its peak, the development of market prices suggests that electricity prices will continue to increase and remain high in the early part of 2023, subsequently declining towards the summer. The current expectation is that electricity prices will again rise in the following winter, albeit much more moderately than now. Looking at the annual changes in prices, this means that the impact of electricity on the consumer price index will turn neutral, or even negative, in late 2023. It is expected that the peak in energy prices will have passed before that time.

Food prices have risen very quickly towards the end of the year. Increased costs have pushed producer prices higher, which has been ultimately reflected in consumer prices. The prices of goods have continued to rise for the same reason, although the prices of goods began to rise earlier due to bottlenecks in production and logistics, with demand during the pandemic being simultaneously focused on goods. The increase in the price of energy and raw materials has also begun to be reflected in the prices of services. Rising wages and other costs are increasingly reflected in the prices of services, which will maintain inflation in the coming years.

High prices and rising interest rates will reduce demand, and price pressures will ease. In addition, decreasing energy prices and transport costs, and the normalisation of production chains, will lead to the prices of food and goods declining in 2023 compared to the highs seen in 2022. However, prices will still be above the pre-energy crisis level. At the same time, factors such as the rising interest rates on housing loans will still burden households in 2023, which means that the impact of the costs of owner-occupied housing on the consumer price index will be at its highest in early 2023.

Inflation is expected to slow to 4% in 2023, followed by 1.9% in 2024 and 1.7% in 2025. This means that inflation will slow substantially during the outlook period, but it will still be higher than in recent years. The underlying assumption is that prices will be subject to upward pressure in the coming years due to halting globalisation, improving the resilience of production chains, preventing climate change, the impacts of climate change, and trade disputes.

Consumer price index and index of wage and salary earnings
change yoy, %



Sources: Statistics Finland, MoF

Table 13. Price indices

	2020	2021	2022**	2023**	2024**	2025**
	change, %					
Export prices[1]	-3.4	9.8	20.5	0.6	-5.4	-4.1
Import prices[1]	-4.9	9.4	19.3	0.7	-5.3	-4.1
Consumer price index	0.3	2.2	7.0	4.0	1.9	1.7
Harmonised index of consumer prices	0.4	2.1	7.2	3.4	2.0	1.9
Basic price index for domestic supply, including taxes	-3.3	9.0	20.9	4.0	2.4	2.4
Building cost index	-0.2	5.4	8.4	3.8	2.4	2.2

[1] As calculated in the National Accounts

2 General government finances

2.1 General government

The general government deficit has been reduced in 2022 by the strong growth of the economy and employment. Tax revenue has grown substantially, while expenditures arising from the management of the COVID-19 pandemic have been lower than in the previous years.

The economy will not grow in 2023, and the general government budgetary position will start to decline. The many preparatory measures taken in response to Russia’s war of aggression will also widen the deficit. Economic growth will be subdued in the next few years, and the imbalance between general government revenue and expenditure will remain large.

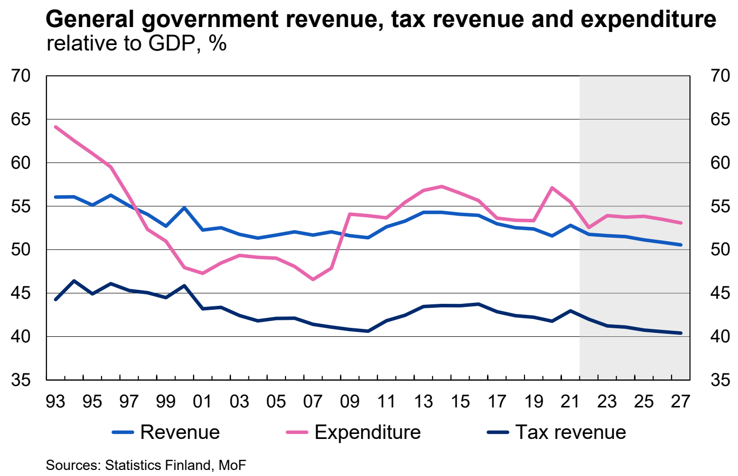
The current parliamentary term will end in 2023, and the forecast for general government finances in the subsequent years is based on the assumption of unchanged policy. This means that the forecast does not include potential actions taken by the new government. Consequently, decisions made by the next government may move general government finances in either direction.

Supported by strong nominal GDP growth, general government debt in ratio to GDP has decreased over the past couple of years. From next year onwards, the general government debt ratio will begin to increase again, starting from a level that is already quite high. The debt ratio will be kept on an upward trajectory by substantial deficits in central government and local government, and rapidly rising debt servicing costs.

The central government deficit will remain large from 2023 onwards due to factors including preparedness measures. Measures have been allocated to internal security, external security and accelerating the green transition. Central government debt servicing costs will increase while slow economic growth will dampen the growth of tax revenue.

The structure of Finland's general government will change at the beginning of 2023 when the responsibility for the organisation of health, social and rescue services is transferred from municipalities to wellbeing services counties. This will alleviate the municipalities' structural expenditure pressures due to population ageing but, even so, local government finances will remain in deficit in the pressure projection. Municipal investment expenditure will be kept high by the ageing building stock, migration and infrastructure construction. Initially, the wellbeing services counties will be in deficit. The deficit is due, among other things, to the high level of investments and the growth of personnel expenses.

The surplus of earnings-related pension funds will stabilise at approximately 1.5% in the next few years. Pension expenditure will continue to increase but, at the same time, higher interest rates increase the pension funds' property income. The financial position of other social security funds will be strengthened during the outlook period by the improvement of the employment situation, and social security funds will be in a slight surplus.


General government revenue, tax revenue and expenditure
relative to GDP, %
70
65
60
55
50
45
40
35
93 95 97 99 01 03 05 07 09 11 13 15 17 19 21 23 25 27
Revenue
Expenditure
Tax revenue
Sources: Statistics Finland, MoF

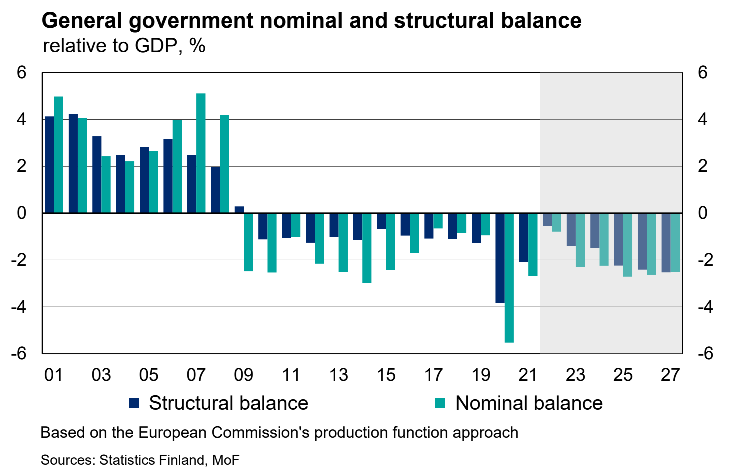

General government nominal and structural balance
relative to GDP, %
6
4
2
0
-2
-4
-6
01 03 05 07 09 11 13 15 17 19 21 23 25 27
Structural balance
Nominal balance
Based on the European Commission's production function approach
Sources: Statistics Finland, MoF

Table 14. General government finances[1]

	2020	2021	2022**	2023**	2024**	2025**
	EUR billion					
Current taxes	38.0	42.0	46.2	45.4	47.6	49.2
Taxes on production and imports	33.1	34.7	35.8	36.7	37.3	37.9
Social security contributions	27.6	30.4	32.3	33.8	34.7	35.9
Taxes and contributions, total[2]	99.4	108.0	115.2	116.9	120.6	124.0
Property income	6.7	7.4	8.6	9.9	11.0	11.9
Sales and fee income	15.8	16.3	16.7	18.0	18.3	18.6
Other revenue	1.0	1.1	1.5	1.5	1.3	1.1
Total revenue	**122.9**	**132.7**	**142.0**	**146.3**	**151.1**	**155.5**
Compensation of employees and intermediate consumption	57.3	60.5	63.8	67.3	69.3	71.1
Subsidies	4.4	4.0	2.7	2.2	2.3	2.3
Social security benefits and allowances	53.7	54.8	56.0	59.6	61.7	63.5
Other current transfers	6.6	6.9	6.6	6.7	6.8	6.9
Property expenditure	1.7	1.3	1.6	2.4	3.2	3.7
Gross capital formation	11.7	10.6	12.1	13.3	13.2	15.0
Other expenditure	0.8	1.3	1.4	1.3	1.2	1.2
Total expenditure	**136.2**	**139.5**	**144.1**	**152.8**	**157.7**	**163.8**
Consumption expenditure	57.8	61.4	64.8	67.6	69.8	72.1
Net lending (+) / net borrowing (-)	-13.3	-6.8	-2.2	-6.5	-6.6	-8.2
Central government	-13.1	-8.2	-4.9	-8.7	-8.6	-10.1
Municipal finances[3]	-0.1	-0.5	-1.0	-1.2	-1.4	-1.5
Wellbeing services counties				-1.0	-1.3	-2.0
Employment pension schemes	0.3	2.2	3.9	4.0	4.5	5.1
Other social security funds	-0.2	-0.2	-0.2	0.4	0.2	0.3
Primary balance[4]	-11.6	-5.4	-0.6	-4.1	-3.4	-4.6

[1] As calculated in the National Accounts
[2] Incl. capital taxes
[3] Incl. capital transfers and consumption of fixed capital
[4] Gross fixed capital formation and capital transfers

Table 15. Main economic indicators in general government

	2020	2021	2022**	2023**	2024**	2025**
	relative to GDP, %					
Taxes and social security contributions	41.8	43.0	42.0	41.2	41.1	40.8
General government expenditure[1]	57.2	55.5	52.6	53.9	53.7	53.8
Net lending	-5.6	-2.7	-0.8	-2.3	-2.2	-2.7
Central government	-5.5	-3.3	-1.8	-3.1	-2.9	-3.3
Municipal finances[2]	-0.0	-0.2	-0.4	-0.4	-0.5	-0.5
Wellbeing services counties				-0.4	-0.5	-0.7
Employment pension institutions	0.1	0.9	1.4	1.4	1.5	1.7
Other social security funds	-0.1	-0.1	-0.1	0.1	0.1	0.1
Primary balance[3]	-4.9	-2.2	-0.2	-1.5	-1.2	-1.5
General government debt	74.8	72.4	71.7	73.4	74.9	76.2
Central government debt	52.4	51.2	51.6	52.9	53.8	54.3
General government employment, 1,000 persons	661	690	698	699	700	696
Central government	143	144	147	147	147	147
Municipal finances[2]	505	533	539	288	287	285
Wellbeing services counties				252	254	251
Social security funds	13	13	13	13	13	13

[1] EU-harmonized definition

[2] Local government until the end of 2022.

[3] Net lending excluding gross interest expenses

2.2 Central government

Russia's invasion of Ukraine will increase spending on national defence, immigration and the security of supply this year and in the coming years. At the same time, the deficit is narrowed by the reduction of financial support related to the COVID-19 pandemic. In addition, good employment growth and fast nominal economic growth have led to strong growth in tax revenue. At the end of the outlook period, investments by the central government will increase substantially due to the deliveries of F35 multirole fighter aircraft.

The deficit this year will be significantly narrowed by a reduction in costs related to COVID-19 and the favourable development of tax revenue. During 2022, Prime Minister Marin's Government has adopted four supplementary budgets, whose expenditure increases are allocated to, among other things, national defence, reception of refugees, safeguarding security of supply, and cost support for companies in the tourism, restaurant and event sectors. In addition, the EU's Recovery and Resilience Facility (RRF) will increase expenditure, particularly in the period 2022–2023, with the related financing continuing until 2026. In 2022, the central government's RRF spending will amount to nearly EUR 500 million, of which more than EUR 110 million in new investment support will be allocated to the development of energy infrastructure and new energy technology. In the first stage, RRF spending increases will be covered from the current transfers granted by the EU. Finland will have to pay its RRF financing contribution in 2028–2058.

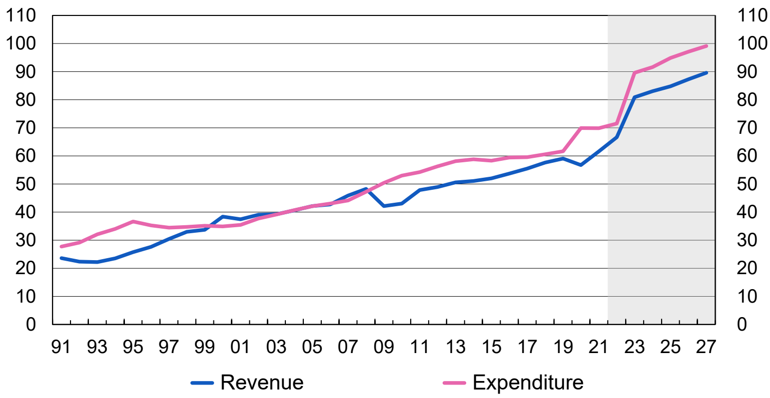
In 2023, central government expenditure will be increased by investments in accordance with the General Government Fiscal Plan to promote research, development and innovation (RDI). In addition, the funding of the Defence Forces will be further increased for 2023, and expenditure related to immigration is expected to remain at a higher level than in previous years. Investments will also be increased by the start of construction on the eastern border barrier fence. Expenditure growth will be slowed by the elimination of spending prompted by the COVID-19 pandemic and the end of the future-oriented investments agreed upon in the early stages of the government term. As economic growth slows, the increase in tax revenue will decelerate. In 2023, the deficit will increase substantially from the previous year and amount to approximately EUR 8.9 billion, or 3.1% of GDP.

The central government's revenue growth will exceed its expenditure growth in 2024 due to accelerating economic growth. In spite of this, the deficit is projected to remain high. Expenditure in 2024 will be increased by the continued growth of interest expenses and increased RDI funding.

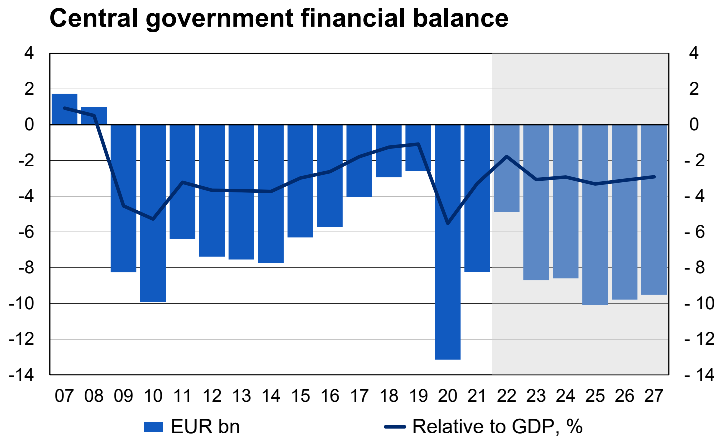
In the medium-term outlook for 2025–2027, the deficit is projected to be larger than it is at present. From 2025, investment expenditure will be increased by the expenditure on the Defence Forces' F35 fighter project as well as additional funding for RDI activities and increases related to border control in 2025–2026. At the end of the outlook period, investments will also be increased by the procurement of Navy vessels. The amount of investment will increase in 2025 by as much as 30% compared to the preceding year.

The central government's interest expenditure will quickly rise to a higher level than before. In 2022, interest expenses according to the accounts will exceed EUR 1.3 billion, and they are expected to rise to approximately EUR 3.9 billion in 2027.

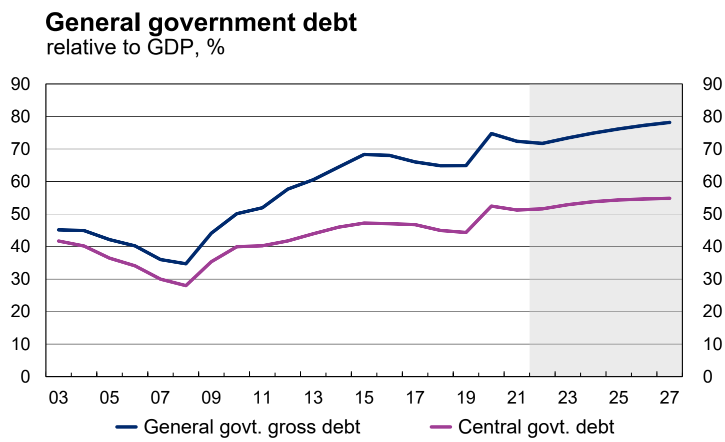
Central government revenue and expenditure
EUR bn



Sources: Statistics Finland, MoF



Sources: Statistics Finland, MoF



Sources: Statistics Finland, MoF

Table 16. Central government[1]

	2020	2021	2022**	2023**	2024**	2025**
	EUR billion					
Current taxes	13.4	16.2	19.4	32.6	34.2	35.3
Taxes on production and imports	33.1	34.7	35.8	36.7	37.3	37.9
Social security contributions	0.0	0.0	0.0	0.0	0.0	0.0
Taxes and social security contributions, total[2]	47.3	51.8	56.1	70.3	72.4	74.1
Sales and fee income	4.3	4.5	4.7	5.0	5.0	5.0
Property income	1.8	2.0	1.9	1.7	1.7	1.7
Other revenue[3]	3.3	3.4	3.9	4.0	3.9	3.9
Total revenue	**56.7**	**61.6**	**66.6**	**80.9**	**83.0**	**84.8**
Compensation of employees and intermediate consumption	14.8	15.6	17.4	18.6	18.6	19.1
Property expenditure	1.6	1.2	1.3	2.0	2.6	3.1
Subsidies	3.9	3.5	2.3	1.7	1.9	1.9
Social security benefits and allowances	4.7	4.8	4.9	5.4	5.5	5.6
Other current transfers	39.1	38.8	38.6	54.4	55.9	56.6
to general government	33.2	32.6	32.9	48.5	50.0	50.6
Gross capital formation	4.8	4.3	5.3	6.1	5.7	7.3
Other expenditure	0.9	1.7	1.6	1.5	1.4	1.3
Total expenditure	**69.9**	**69.9**	**71.5**	**89.6**	**91.6**	**94.9**
Consumption expenditure	15.1	15.9	17.4	18.4	18.3	18.8
Net lending (+) / net borrowing (-)	-13.1	-8.2	-4.9	-8.7	-8.6	-10.1
Primary balance[3]	-11.6	-7.0	-3.5	-6.7	-6.0	-7.0

[1] As calculated in the National Accounts
[2] Includes gift and inheritance taxes
[3] Net lending excluding gross interest expenses

The local government sector will be divided into municipal government and wellbeing services counties

The wellbeing services counties will start their actual operations at the beginning of 2023. This will result in a change in the sector classification of general government with respect to the local government sector. Statistics Finland maintains the sector classification and makes related decisions.

The Finnish general government sector is divided into three subsectors: central government, local government and social security funds. Following the establishment of the wellbeing services counties, the subsectors of the local government sector will be "local government excluding wellbeing services counties" (S13131) and "wellbeing services counties" (S13132).

The non-market activities of municipalities, joint municipal authorities and the autonomous region of Åland belong to sector S13131 "local government excluding wellbeing services counties". The sector also includes other non-market units owned by local government. Statistics Finland has decided that the City of Helsinki's social, health and rescue services also belong to this subsector in the sector classification. The wellbeing services county sector S13132 includes the wellbeing services counties, joint authorities for health and wellbeing, and units owned by the wellbeing services counties.

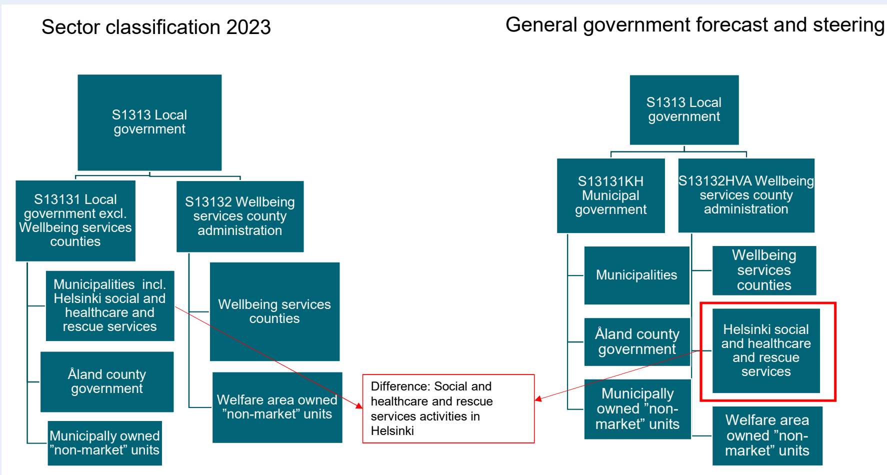
As a special case, Helsinki will organise social, health and rescue services as a municipality. However, the city's social, health and rescue services will be required to maintain separate accounts of their activities, and they are subject to the applicable legislative provisions concerning the wellbeing services counties with regard to funding, for example. The highest decision-making power will still lie with the City Council and, in its decision on sector classification, Statistics Finland did not consider Helsinki's social, health and rescue services to be independent enough to classify them in the subsector of the wellbeing services counties based on the provisions that guide the sector classification of the national accounts.

The subsectors of local government in the forecast of general government finances deviate from the national accounts information published by Statistics Finland with regard to Helsinki

In the forecast of general government finances issued by the Economics Department of the Ministry of Finance, information on the City of Helsinki's social, health and rescue services are classified as part of the wellbeing services county sector. Statistics Finland will also look into publishing information on key indicators using both the official sector classification and a sector classification corresponding to that used in the forecast of general government finances in order to provide reliable and consistent information for the steering of the local government sector.

The purpose of the classification that deviates from the official sector classification is to facilitate the steering of the wellbeing services counties and municipal finances, and to make it easier to examine the data within the framework of the national accounts. The official sector classification does not make it possible to establish an overall picture of the situation of the subsectors for the purpose of steering general government finances because the classification of the provider of social and health services with the largest population, namely the social, health and rescue services of the City of Helsinki, differs from the others.

Consequently, when examining the subsectors of local government, it is important to be diligent as to which sector classification is observed. However, when the local government sector is examined as a whole, the classification of the subsectors is irrelevant.



2.3 Municipal finances

The local government deficit is projected to decline in 2022 to 0.4% in ratio to GDP. Municipalities have accumulated a good amount of tax revenue in 2022 in spite of the end of the increased corporate tax apportionment and higher central government transfers to local government related to COVID-19 support measures. Nevertheless, local government expenditure has grown faster than revenue. Growth in consumption expenditure has been sustained in 2022 not only by the increase in the need for services but also by the reduction of the service and care backlog and the expansion of municipalities' duties in accordance with the Government Programme, with related expenses increasing each year. Additional expenditure has also arisen from the immigration of Ukrainians fleeing Russia's war of aggression. The Government is committed to compensating municipalities for related additional expenditure in, for example, education and integration.

In 2023, health, social and rescue services duties will be transferred to wellbeing services counties and the corresponding financing to central government[1]. Municipal revenue and expenditure will nearly halve as a result of the reform. After the reform, the duties included in municipal finances (local government excluding wellbeing services counties) will be even more focused on early childhood education and general education, the combined need for which is declining due to the fall in the birth rate throughout the 2010s. In the projection, the decline in the need for services has been slightly dampened as usual, as there are limited opportunities for adjustments to the school network in small municipalities, and in addition, the participation rate of early childhood education has trended upwards in recent years. Still, the meagre resources of general government finances challenge municipalities to also consider regional solutions. Not all services need to be located within a municipality's borders, but they do need to be accessible and high in quality.

The parliamentary term will end in 2023, and many of the Government's fixed-term measures will end. The measures eliminated from municipal finances include COVID-19 support measures and projects pertaining to quality and equality in

1 In the forecast, Helsinki's health, social and rescue services have been included in the wellbeing services counties subsector.

education, for example. Still, the price of municipal consumption expenditure continues to grow. The price of consumption is influenced particularly by wage increases in the municipal sector, which are tied to the general level of wage increases, at a minimum, for 2023 and 2024. Wages in the municipal sector will also be increased by the pay programme for the period 2023–2027, which will see wages increase by a total of approximately 5.1%. Pay agreements have a significant impact on the development of costs in municipal finances, as personnel expenses will continue to constitute the largest cost item.

An estimated total of EUR 1.2 billion in investments will be transferred from municipal finances to the wellbeing services counties. Investment pressures in municipal finances will remain high in the future due to factors such as the age of the building stock, population migration, and the green transition required to address climate change. However, it is possible that investments will be postponed due to the uncertain economic outlook, rising interest rates and increasing costs. The deficit in municipal finances is projected to remain at approximately 0.4% of GDP in 2023.

Although the growing spending pressures in healthcare and social services arising from the ageing of the population will no longer be the responsibility of municipalities following the reform of health and social services, there will still be a growing imbalance between municipal revenue and expenditure in the pressure projection. The deficit in municipal finances will grow to 0.5% of GDP in 2024–2025 and further to 0.6% of GDP towards the end of the outlook period, in 2026–2027.

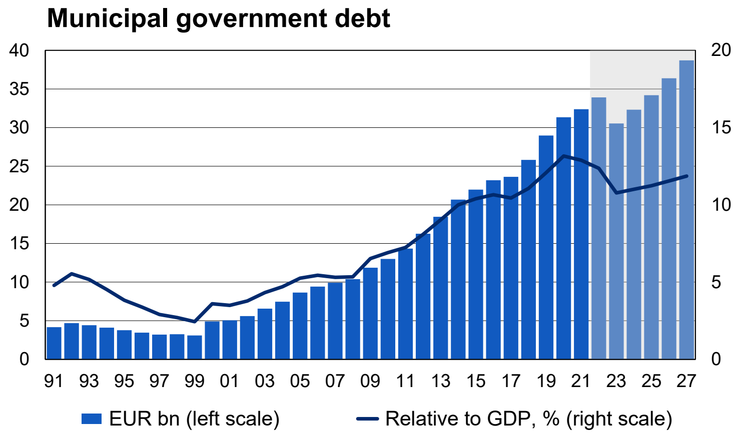
Approximately EUR 5.1 billion in debt will be transferred from municipal administration to the wellbeing services counties in 2023 as a result of the health and social services reform. Municipal finances will be left with extensive debt that will grow as deficits widen. However, the growth of the deficit will level off, which will be reflected in slower growth of the debt ratio compared to the average rate seen over the past decade.

Table 17. Municipal finances[1]

	2020	2021	2022**	2023**	2024**	2025**
	EUR billion					
Taxes and social security contributions, total	24.6	25.8	26.8	12.8	13.4	13.9
of which municipal tax	20.5	20.8	21.8	8.6	9.3	9.6
corporate tax	2.2	3.0	2.9	2.0	1.9	2.0
real estate tax	2.0	2.0	2.1	2.2	2.2	2.3
Sales and fee income	10.7	11.0	11.2	9.8	9.9	10.0
Transfers from the central government	17.7	17.6	18.1	8.1	8.2	8.2
Other revenue	1.7	1.7	1.9	1.8	1.9	2.0
Total revenue	**54.6**	**56.2**	**58.0**	**32.5**	**33.4**	**34.1**
Compensation of employees and intermediate consumption	40.7	43.0	44.4	24.9	25.6	26.0
Social assistance and benefits in kind	5.3	5.6	5.9	0.9	0.9	1.0
Other current transfers	1.9	1.9	1.8	1.8	1.8	1.8
Property expenditure	0.1	0.1	0.2	0.3	0.4	0.5
Gross capital formation	7.0	6.3	6.7	5.8	6.2	6.4
Other expenditure	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1
Total expenditure	**54.7**	**56.7**	**59.0**	**33.6**	**34.8**	**35.5**
Consumption expenditure	**38.8**	**41.4**	**43.2**	**20.7**	**21.6**	**22.1**
Net lending (+) / net borrowing (-)	-0.1	-0.5	-1.0	-1.2	-1.4	-1.5
Primary balance[2]	0.0	-0.4	-0.8	-0.8	-1.0	-1.0

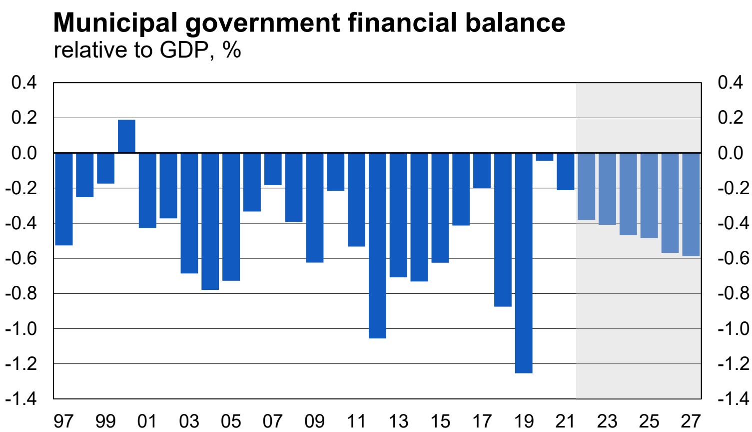
[1] As calculated in the National Accounts. Local government until the end of 2022. Municipal finances excl. Helsinki's health, social and rescue services from 2023 onwards.

[2] Net lending excluding gross interest expenses



Incl. wellbeing services county administration until the end of year 2022

Sources: Statistics Finland, MoF



Incl. wellbeing services county administration until the end of year

Sources: Statistics Finland, MoF

2.4 Wellbeing services counties

The wellbeing services counties will start their actual operations at the beginning of 2023. Starting from that time, they will be treated as a separate subsector in the projection for general government finances. In the projection, the wellbeing services counties comprise the activities of the new wellbeing services counties, the Hospital District of Helsinki and Uusimaa (HUS), and the health, social and rescue services of the City of Helsinki .

Initially, the wellbeing services counties will be slightly in deficit. The deficit will be about 0.4% of GDP and is mainly due to the high level of health and social services investments, which will decrease slightly in the subsequent years. The budgetary position of the sector will be weakened in the following years by costs – particularly personnel expenditure – rising faster than the general level of earnings. The forecast has been prepared as a pressure projection and it does not take into account the statutory retrospective reviews of funding nor next year's review of funding for 2023 to adjust the expenditure estimate of healthcare and social services for 2022.

Most of the financing for the wellbeing services counties will come from central government. In the two first years of operations, central government funding will be provided on the following basis: estimated increase in service needs plus 0.2 percentage points and in accordance with the wellbeing services county index and changes in tasks. The wellbeing services counties will also receive some fee income from customers. In 2023, the sector will receive EUR 27.5 billion in revenue, with 90% of that total coming from central government.

Expenditure trends of the wellbeing services counties are based on estimated increases in service needs and anticipated price trends. The projected expenditures do not include measures aimed at increasing the efficiency of the wellbeing services counties' operations. Investment estimates are based on the investment plans of the wellbeing services counties. The cost of providing health and social services accounts for most of the expenditure of the wellbeing services counties. Personnel expenses and costs of purchasing goods and services will account for EUR 26.4 billion of the total expenditure in 2023.

Initially, the wellbeing services counties will also incur change-related costs as they launch and organise their activities. There is still uncertainty involved with the scale of these transition costs. The projection assumes that the transition costs arising from the harmonisation of wages will be incurred in 2023–2026 in accordance with the agreement concluded between the labour market organisations in autumn 2022.

Table 18. Welfare services counties

	2023**	2024**	2025**
		EUR billion	
Sales and fee income	2.5	2.6	2.7
Transfers from the central government	24.9	25.9	26.3
Other revenue	0.2	0.2	0.2
Total revenue	**27.5**	**28.6**	**29.1**
Compensation of employees and intermediate consumption	21.7	23.0	23.9
Social assistance and benefits in kind	5.3	5.6	5.8
Property expenditure	0.1	0.1	0.2
Gross capital formation	1.4	1.3	1.3
Other expenditure	0.0	0.0	0.0
Total expenditure	**28.6**	**30.0**	**31.1**
Consumption expenditure	24.2	25.6	26.7
Net lending / borrowing	**-1.0**	**-1.3**	**-2.0**
Primary balance[2]	-1.0	-1.2	-1.9

Table 19. Local government[1] (Municipal finances + Welfare services counties)

	2020	2021	2022**	2023**	2024**	2025**
	EUR billion					
Sales and fee income	10.7	11.0	11.2	12.3	12.5	12.6
Taxes and social security contributions, total	24.6	25.8	26.8	12.8	13.4	13.9
Transfers from the central government	17.7	17.6	18.1	33.0	34.1	34.5
Other transfers	0.2	0.2	0.2	0.2	0.2	0.2
Other revenue	1.5	1.5	1.7	1.7	1.8	1.9
Total revenue	**54.6**	**56.2**	**58.0**	**60.0**	**62.1**	**63.2**
Compensation of employees and intermediate consumption	40.7	43.0	44.4	46.7	48.6	49.9
Social assistance and benefits in kind	5.3	5.6	5.9	6.2	6.5	6.8
Other current transfers	1.9	1.9	1.8	1.8	1.8	1.8
Property expenditure	0.1	0.1	0.2	0.4	0.5	0.6
Gross capital formation	7.0	6.3	6.7	7.2	7.5	7.7
Other expenditure	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1
Total expenditure	**54.7**	**56.7**	**59.0**	**62.2**	**64.8**	**66.7**
Consumption expenditure	**38.8**	**41.4**	**43.2**	**44.9**	**47.1**	**48.8**
Net lending (+) / net borrowing (-)	-0.1	-0.5	-1.0	-2.2	-2.7	-3.5
Primary balance[2]	0.0	-0.4	-0.8	-1.8	-2.2	-2.9
Index of welfare services counties, change, %				3.5	2.6	2.6
Index of wage and salary earnings of welfare services counties, change, %				4.9	5.3	6.8

[1] As calculated in the National Accounts.

[2] Net lending excluding gross interest expenses

2.5 Social security funds

The surplus of employment pension schemes was 0.9% of GDP in 2021. The improvement in the surplus in 2022 is driven by property income and pension contributions. The surplus will improve slightly in the following years as property income continues to grow. In 2023, earnings-related pensions paid will increase by more than 8%, or EUR 2.3 billion, due to index increases caused by rapidly rising prices. In 2022–2025, the surplus of the earnings-related pension sector will grow to just over 1.5% of GDP.

Other social security funds had a deficit of 0.1% relative to GDP in 2021. In 2022, the sector's financial position will remain largely unchanged. However, unemployment expenditure will decline substantially, and fee income was also improved by the increase to unemployment insurance premiums at the beginning of 2022. Premiums will remain unchanged in 2023. The sector's expenditure in 2023 will be increased by statutory index increases and fixed-term assistance with electricity costs. The sector will have a surplus of approximately 0.21% of GDP starting from 2023. The Employment Fund's cyclical buffer will start to grow and, towards the end of the outlook period, there will be pressure to reduce contributions due to the upper boundary of the cyclical buffer being approached.

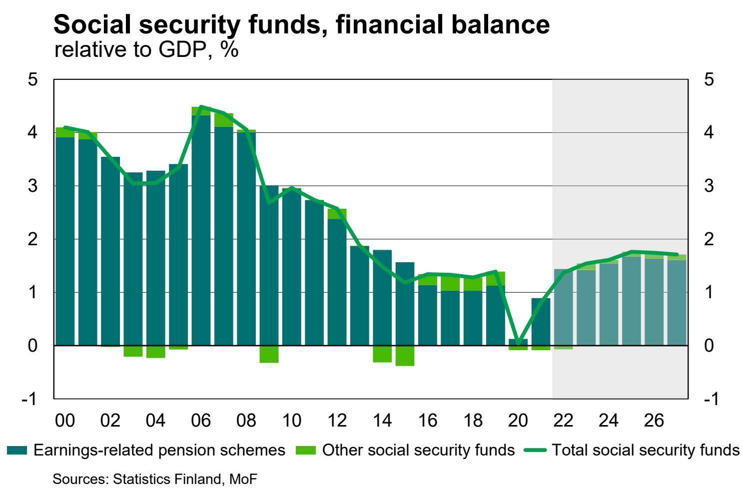


Table 20. Finances of social security funds[1]

	2020	2021	2022**	2023**	2024**	2025**
	EUR billion					
Property income	3.5	4.0	5.1	6.6	7.5	8.4
Social security contributions	27.6	30.4	32.3	33.8	34.7	35.9
of which contibutions paid by employers	16.7	18.9	20.3	21.1	21.7	22.5
contributions paid by insured	10.8	11.5	12.0	12.6	13.0	13.4
Transfer from general government	17.2	16.8	16.3	17.1	17.4	17.7
Other revenue	0.9	0.8	0.8	0.9	0.9	0.9
Total revenue	**49.2**	**52.0**	**54.5**	**58.3**	**60.5**	**62.8**
Compensation of employees and intermediate consumption	1.7	1.9	2.0	2.1	2.1	2.2
Social benefits and social benefits in kind	43.7	44.4	45.1	48.0	49.7	51.1
Other expenditure	3.6	3.7	3.6	3.9	4.0	4.2
Total expenditure	**49.1**	**50.0**	**50.7**	**53.9**	**55.8**	**57.5**
Consumption expenditure	3.8	4.1	4.2	4.3	4.4	4.5
Net lending (+) / net borrowing (-)	0.1	2.0	3.8	4.4	4.7	5.4
Earnings-related pension schemes	0.3	2.2	3.9	4.0	4.5	5.1
Other social security funds	-0.2	-0.2	-0.2	0.4	0.2	0.3
Primary balance[2]	0.1	2.0	3.8	4.4	4.7	5.4

[1] As calculated in the National Accounts

[2] Net lending excluding gross interest expenses

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